

Basel III Pillar 3 Disclosures

31 December 2024

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Part 2 – Overview of Risk Management and RWA

KM1 – Key metrics (at consolidated group level)

	SAR '000	Q4 2024	Q3 2024	Q2 2024	Q1 2024	Q4 2023
	Available capital (amounts)					
1	Common Equity Tier 1 (CET1)	132,619,766	129,371,932	125,291,217	125,822,867	121,992,919
1a	Fully loaded ECL accounting model CET1	132,182,409	128,934,575	124,853,860	125,385,510	121,118,205
2	Tier 1	153,044,867	143,760,046	139,702,217	140,243,558	136,385,218
2a	Fully loaded ECL accounting model Tier 1	152,607,510	143,322,689	139,264,860	139,806,201	135,510,504
3	Total capital	157,103,990	150,246,624	146,152,310	146,618,995	141,736,958
3a	Fully loaded ECL accounting model total capital	156,666,633	149,809,267	145,714,953	146,181,638	140,862,244
	Risk-weighted assets (amounts)					
4	Total risk-weighted assets (RWA)	754,330,280	772,565,174	756,197,588	731,638,965	703,856,085
4a	Total risk-weighted assets (pre-floor)	754,330,280	772,565,174	756,197,588	731,638,965	703,856,085
	Risk-based capital ratios as a percentage of RWA					
5	CET1 ratio (%)	17.58%	16.75%	16.57%	17.20%	17.33%
5a	Fully loaded ECL accounting model CET1 (%)	17.52%	16.69%	16.51%	17.14%	17.21%
5b	CET1 ratio (%) (pre-floor ratio)	17.58%	16.75%	16.57%	17.20%	17.33%
6	Tier 1 ratio (%)	20.29%	18.61%	18.47%	19.17%	19.38%
6a	Fully loaded ECL accounting model Tier 1 ratio (%)	20.23%	18.55%	18.42%	19.11%	19.25%
6b	Tier 1 ratio (%) (pre-floor ratio)	20.29%	18.61%	18.47%	19.17%	19.38%
7	Total capital ratio (%)	20.83%	19.45%	19.33%	20.04%	20.14%
7a	Fully loaded ECL accounting model total capital ratio (%)	20.77%	19.39%	19.27%	19.98%	20.01%
7b	Total capital ratio (%) (pre-floor ratio)	20.83%	19.45%	19.33%	20.04%	20.14%
	Additional CET1 buffer requirements as a percentage of RWA					
8	Capital conservation buffer requirement (2.5% from 2019) (%)	2.50%	2.50%	2.50%	2.50%	2.50%
9	Countercyclical buffer requirement (%)	0.18%	0.16%	0.16%	0.18%	0.19%
10	Bank G-SIB and/or D-SIB additional requirements (%)	1.50%	1.50%	1.50%	1.50%	1.50%
11	Total of bank CET1 specific buffer requirements (%) (row 8 + row 9 + row 10)	4.18%	4.16%	4.16%	4.18%	4.19%
12	CET1 available after meeting the bank's minimum capital requirements (%)	8.90%	8.09%	7.91%	8.52%	8.64%
	Basel III leverage ratio					
13	Total Basel III leverage ratio exposure measure	1,158,193,798	1,197,721,282	1,159,767,265	1,142,456,575	1,102,094,552
14	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves)	13.21%	12.00%	12.05%	12.28%	12.38%
14a	Fully loaded ECL accounting model Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) (%)	13.18%	11.97%	12.01%	12.24%	12.30%
14b	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves)	13.21%	12.00%	12.05%	12.28%	12.38%
14c	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	13.21%	12.00%	12.05%	12.28%	12.38%
14d	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	13.21%	12.00%	12.05%	12.28%	12.38%
	Liquidity Coverage Ratio (LCR)					
15	Total high-quality liquid assets HQLA	169,371,146	168,567,658	179,727,888	189,265,994	172,988,657
16	Total net cash outflow	63,858,513	59,371,841	63,984,894	67,326,748	67,026,511
17	LCR ratio (%)	265%	284%	281%	281%	258%
	Net Stable Funding Ratio (NSFR)					
18	Total available stable funding	693,255,977	707,295,450	695,006,687	706,881,482	654,409,570
19	Total required stable funding	650,275,887	646,268,781	629,250,686	617,748,296	594,165,749
20	NSFR ratio	107%	109%	110%	114%	110%

OVA – Bank risk management approach

a. Business model determination and interaction with the overall risk profile.

The Saudi National Bank (hereinafter ‘SNB’, or ‘the Bank’, or ‘the Group’) provides banking services to its customers through its three core functions: (i) Business functions, (ii) Support functions, and (iii) Control functions. The main objectives of the core functions are as follows.

Business functions

The Bank has a strong focus on strategic growth driven mainly by Retail Banking and Wholesale Banking. This enables the Bank to have direct accountability and leverage on the opportunities through greater scale, as well as increase its customer base and segments while strengthening the portfolios beyond products and services.

Support functions

The support functions are dedicated to assisting the business functions and their strategic priorities. They are led by the Head, Group Shared Services (GCOO), the Group Chief Human Resources Officer, the Group Chief Financial Officer, Head, Group Strategy and Innovation, and Head, Customer Experience. Together, these functions will facilitate the achievement of integration and synergy targets, while enabling the business functions to focus on the clients and pursuing growth.

Control functions

The control functions are responsible for ensuring effective control and governance. These functions are led by the Group Chief Risk Officer, the Group Chief Compliance Officer, the Group Chief Legal Officer, and the Group Chief Audit Officer.

b. The risk governance structure

In line with Basel guidance, the Bank believes that effective risk management involves the strategic implementation of three lines of defense as the first principle of the risk management framework. The first line of defense is the business units which have primary responsibility for day-to-day risk management and internal controls. The second line of defense is the risk group, which partners with the business units to formulate the Bank’s risk appetite and provides oversight support, monitoring and reporting. The third line of defense is the internal audit function which provides independent and objective assurance on the overall effectiveness of the Bank’s risk governance framework.

Risk at the Bank is governed through the Board of Directors and their delegated committees, namely Executive, Risk, Audit, Shariah and Nomination & Remuneration Committees. At the management level, the Risk Group is an independent control group headed by the Group Chief Risk Officer (GCRO). The GCRO reports directly to the Group Chief Executive Officer (CEO) and has direct engagement and interaction with the Board and its committees throughout the year. Further, the GCRO is the chairman of the management-level Information Security Committee, Operational Risk Committee and Anti-Fraud Governance Committee. THE GCRO is also a member of the following management-level committees: Higher Management Committee, Asset-Liability Committee, Credit and Remedial Management Committee, Compliance committee, Business Continuity Committee, Micro, Small & Medium Enterprises, Information Technology Committee and Data Management & Governance Committee. With the Board and senior management oversight, the Risk Group is responsible for managing various risks on day-to-day basis through different functions, which are as below.

Retail Risk Management

Retail Risk Management operates through four key departments – (a) Secured Credit Policy, (b) Unsecured Credit Policy, (b) Portfolio & Strategy, and (d) Quality & Governance to oversee the credit lifecycle. Those departments focus on aligning credit practices with strategic goals, proactively managing risks, ensuring regulatory compliance,

and using data-driven insights to optimize portfolio performance and recovery strategies. Furthermore, all functions pursue towards strengthening internal risk control, and ensure that the proper implementation of policies and periodic reviews are undertaken.

Wholesale Credit Risk Management

Wholesale Credit risk is primarily responsible for managing and monitoring the credit risk associated with corporate customers and the treasury exposures. It manages credit exposure relating to financing and very limited trading activities by monitoring credit limits, entering into collateral arrangements with customers and counterparties in appropriate circumstances, and by managing the duration and exposure limits.

Treasury Risk

Treasury risk is responsible for managing, monitoring, measuring, analyzing, and reporting market risks related to investments and proprietary trading book positions, including interest rates, foreign exchange, equities, and commodities. The Bank's Treasury risk also oversees private markets, hedge funds, and collective investment portfolios. The risks arising from these instruments are managed and mitigated by adherence to the investment portfolio and risk limits and guidelines approved by the Board in line with the risk appetite of SNB. The division ensures that it meets both internal and regulatory requirements for market and liquidity risks, as well as related reporting requirements.

Enterprise Risk Management

The Risk Group's Enterprise Risk Management (ERM) function is responsible for Bank-wide independent risk management practices. ERM plays an integral role in the financial planning and budgeting process concerning key risk metrics and thus is instrumental in setting the risk appetite statement for the Group. The division's main functions are risk capital management and analytics, regulatory analytics, stress testing, and IFRS 9 & provisioning. Furthermore, the division develops and manages all credit rating models and scorecards that are essential for credit risk management and decision making in the Bank.

Operational Risk Management

The objective of Operational Risk Management is to prevent operational losses from causing material damage to the Bank. Operational risk exposures are managed by using a consistent management process that leads to the identification, assessment, control, and monitoring of risks.

Information Security Risk Management

The information security risk management practices supported by existing methodology and framework are aligned with SNB's strategic priority and ensure a consistent approach to identifying, evaluating, and mitigating security risks. The overall information security risk management supports safeguarding the confidentiality, integrity and availability of information assets by mitigating risk related to data breach and unauthorized access, potential weakness in digital transformation initiatives while maintaining regulatory compliance.

c. Channels to communicate, Assess and enforce the risk culture within the Bank

As per Basel guidance, effective risk management involves the strategic implementation of three lines of defense as the first principle of the risk management framework. In this regard, SNB has increasingly adopted the practice, which promotes risk culture and facilitates risk communication channels between business groups and control functions. At each line of defense, there is adequate risk governance principles guidance to support the embedded risk management practice. A high-level overview of the 'three lines of defense' model is described below.

First Line of Defense

The first line of defense refers to the front-line business functions who must understand their roles and responsibilities with regard to processing transactions, must follow a systematic risk process, and apply internal controls and other risk responses to deal with the risks associated with those transactions. SNB promotes reporting of violations or breaches of risk thresholds as part of its continuous efforts in rectifying and strengthening its processes.

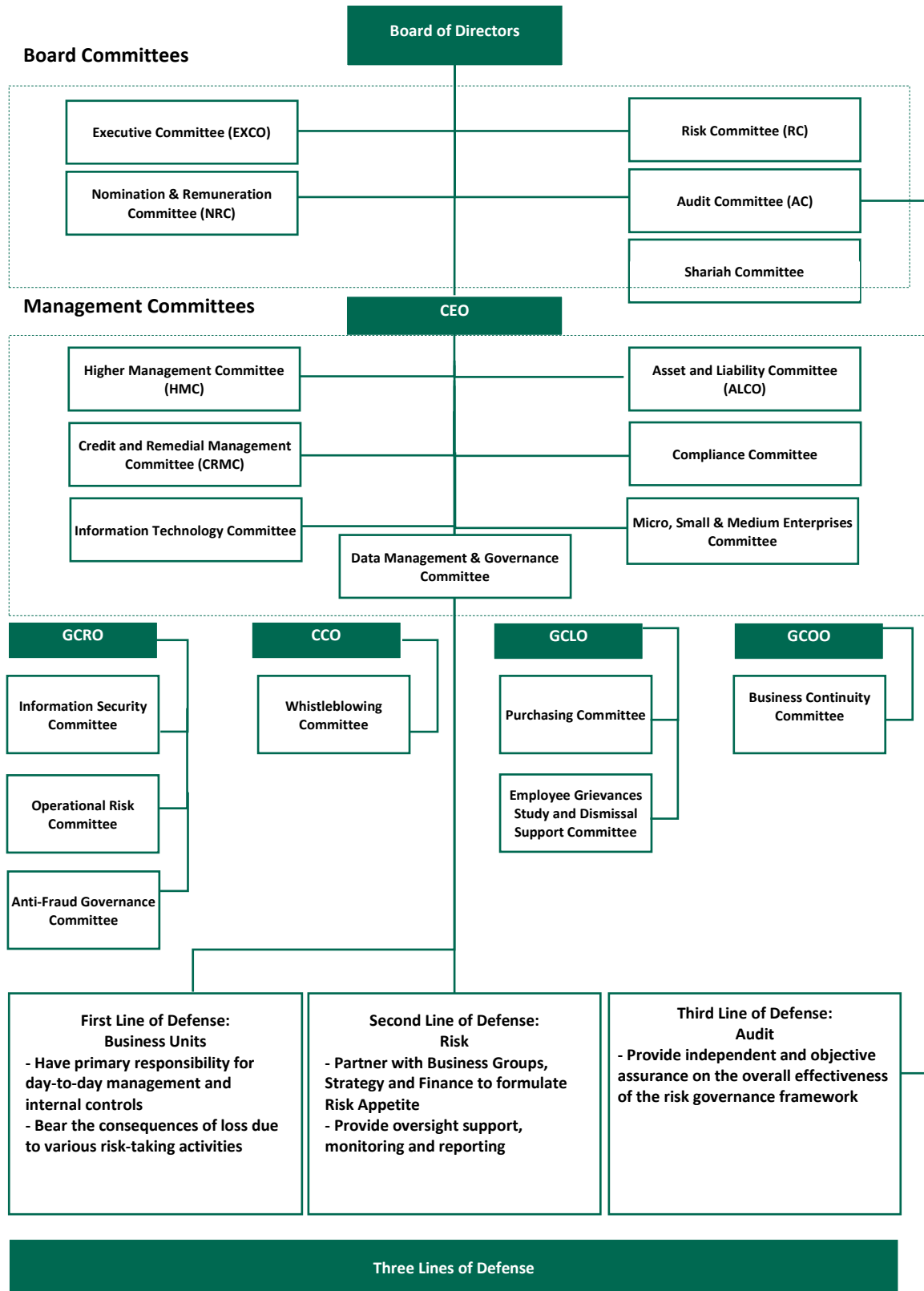
Second Line of Defense

The second line of defense is the Bank's risk functions that provide independent oversight of the risk management activities of the first line of defense. The risk function assumes an independent role in its day-to-day activities and is responsible for various policies and procedures that define the communication channels, roles and responsibilities including code of conducts and procedures manuals. The process established by the Risk function ensures that all limits are monitored periodically to highlight any breach and corrective actions are formulated for regularizing the same. In this regard, the overall practice is governed by the risk appetite framework that ensures adequate alignment with business groups and proper monitoring on periodic basis.

Third Line of Defense

The third line of defense consists of internal audit division reporting independently to the Audit Committee. As a result of this mandate, internal audit is responsible for regular review of the first and second line of defense activities to ensure that the risk management arrangements and structures are commensurate and adequate for discharging necessary responsibilities by various stakeholders in the Bank.

Overall risk governance arrangement, communication and enforcement channels at SNB are presented in the next page.



d. The scope and main features of risk measurement systems

SNB has implemented systems, processes, policies, and methodologies allowing for timely and effective assessment, reaction, and mitigation of potential risks. The objective of using risk management tools is to ensure the following:

- Appropriate quantification and monitoring of risk at the enterprise level.
- Risks assumed by the business functions are adequately measured on a risk adjusted basis.

Following are the key components implemented in the Bank to achieve above objectives:

Target Market and Risk Acceptance Criteria (TM & RAC) - When originating a credit relationship and during regular reviews of such relationship, SNB sets a carefully screened Target Market (TM) and an appropriate set of Risk Acceptance Criteria (RAC) to determine the type of client/segment and type of exposure (RAC). The principle of overall risk acceptance, among other factors, considers two important risk factors, viz. (i) macroeconomic risk and (ii) concentration risk. First, the macroeconomic risk is carefully assessed through the annual review of industry trends and the short- and medium-term impacts are conducted by the Economics Department. Second, the concentration risk, which is relevant in the corporate credit portfolio, is managed through specific guidelines that focus on maintaining a diversified portfolio to avoid excessive concentration of risk implemented through customer and sector limit structures. Risk and business conduct alignment review sessions to continuously monitor the portfolio and segment limits and concentrations. Further, all interrelated companies controlled by the same management and/or ownership structure are treated as one entity/group.

Monitoring and Early Warning - The Bank's exposures are continuously monitored through a set of triggers and early-warning signals aimed at detecting adverse symptoms that could result in deterioration of credit risk quality. The triggers and early-warning systems are supplemented by facility utilization and collateral valuation monitoring together with market intelligence to enable timely corrective action by management.

Risk Assessment Tools - To measure and manage the risk in all SNB portfolios, exposures to various customers (both corporate and retail) are subject to risk rating models and scorecards, which have been developed by the Bank, independently by Enterprise risk management unit. Corporate relationships are assessed by using the obligor risk rating models and scorecards, while retail customers are assessed by employing both application and behavioral scorecards. For investments and Financial Institutions, the Bank employs external ratings provided by prominent rating agencies, viz. S&P, Moody's, and Fitch. In addition to the rating models and scorecards, the Bank has also implemented loss given default (LGD) models both for corporate and retail.

Risk-Based Pricing – The Bank has implemented Risk-based pricing, or Risk-Adjusted Return on Capital (RAROC) as an important assessment tool. Particularly for corporate financing, the relationship RAROC is estimated at origination and forms a part of the credit evaluation. In addition, on the ex-post basis, the relationship RAROC is measured and communicated to all relationship managers to help them assess their respective clients on an ongoing basis.

System and Loss Data Collection - The SAS Operational Risk Monitor is being used to collect operational risk losses within the Bank. The tool is considered to be the industry's prime tool for operational risk losses collection. From this system, the SNB is able to record and consider major operational risks/incidents and effectively determine the appropriate measures to mitigate and manage the exposure to these risks. Recorded events are rigorously monitored and analyzed for further escalation. As a result, a comprehensive loss data collection for managing, tracking and reporting risk information is effectively in place.

Risk and Controls Self-Assessment (RCSA) - A qualitative and quantitative risk assessment is conducted within SNB using an identified universe of operational risks in the Risk & Control Self-Assessment Framework (RCSA). The assessment of risks and controls is conducted at the business unit level and is subject to treatment and escalation to Group Heads, which set out the operational risk exposure that SNB is willing to tolerate. The Operational Risk department conducts the RCSA exercise across SNB covering core and support function divisions in order to ensure an active comprehensive operational risk register for SNB is being held.

Key risk Indicators - To ensure that SNB is compliant with Basel III requirements, the Operational Risk department uses its risk management and control system to provide a reliable and effective reporting mechanism. Key Risk Indicators (KRIs) are used as a monitoring tool to provide early warnings of operational problems or highlight failures. KRI reports generated by businesses are reviewed quarterly and monitored by the Operational Risk department for effective management.

e. Description of the process of risk information reporting provided to the Board and senior management

The Board is constantly informed and updated regarding the risk status of the Bank through several reports. Following are the key reports which are considered comprehensive and hence provide Group wide risk assessment on periodic basis.

Quarterly Risk Report is submitted to the Board Risk Committee encompassing risks related to the aggregate Group, underlying business groups and the material subsidiaries. The report provides a concise overview of key regulatory ratios and thresholds, capital adequacy, asset quality and provision coverage, risk adjusted return, liquidity position of the Bank, market risk due to the trading activities, interest rate risk in the banking book, major operational risk incidents and mitigating actions, and information security update.

Risk appetite monitoring of the Bank is an integral part of the quarterly reporting to the Board and senior management, it combines the Bank's business model, governance, and strategic decisions. It holistically integrates the risk limits and performance targets for the Bank and the business groups, and sets the overall risk tolerance boundaries. Additionally, it facilitates the management decisions with various risk targets in order to ensure compliance with regulatory constraints and changing economic conditions.

Stress testing is another key component of the quarterly risk reporting process to the Board and senior management that assesses the potential risk and the resulting impact due to stressed operating scenarios, both macroeconomic or/and idiosyncratic. Stress testing framework at SNB is comprehensive and is reasonably granular, which enables the management and the Board to assess the impact of different scenarios on specific portfolios and sub-portfolios in terms of credit quality, liquidity, and capital adequacy.

Internal Capital Adequacy Assessment Process (ICAAP) is considered as the most comprehensive exercise that conducts the risk assessment of the Bank on forward looking basis, given the business plan and growth

aspirations. This provides a complete overview of existing capital adequacy and future capital requirements to the Board and the senior management, which aids the long-term capital management process in the Bank.

Internal Liquidity Adequacy Assessment Process (ILAAP) provides comprehensive documentation of the Bank's liquidity risk management framework, including identifying the critical liquidity and funding risks to which the Bank is exposed to, explaining how these risks are identified, monitored and measured, and describing the approaches and resources used to manage and mitigate these risks.

Moreover, senior management exercises its risk management function through various management committees which require more frequent and more granular reporting on risk exposures.

f. Qualitative information on stress testing

SNB conducts its stress test, as mandated by the Saudi Central Bank (SAMA), which is submitted to the regulator on a semi-annual basis. However, it is considered as an important internal tool of analyzing the risk profile of the Bank at the enterprise level and provides an understanding of how Group's capital adequacy is impacted by extreme conditions. It is also part of the Internal Capital Adequacy Assessment Plan (ICAAP) and supplements the Bank's internal capital planning on a forward-looking basis, along with the Internal Liquidity Adequacy Assessment Plan (ILAAP), where The Bank considers stress testing as a key tool to measure and evaluate the Group's funding liquidity position.

The stress testing framework is comprehensive and covers all material portfolios which include corporate lending, retail products, treasury investments, Turkish subsidiary and Financial Institutions. All Major risk types are considered within the scope of the SNB stress testing such as credit risk, market risk and operational risk, interest rate risk in the banking book, liquidity risk and concentration risk.

The Bank has formulated several scenarios which include Saudi macroeconomic conditions and external stressed events while appropriately taking into consideration the regulator's requirements. Under each scenario, stressed losses and their impact on capital adequacy ratio (CAR) are assessed. The approach to determining stress test scenarios involves a combination of historical information and expert judgment. In addition to the impact assessment on capital adequacy, SNB also considers stress testing as a key tool to measure and evaluate the Group's funding liquidity position due to sudden and severe stress events. In this regard, the Bank calculates the stressed liquidity outflow due to select scenarios and varying level of shocks to the risk factors. Further, the Bank also conducts sensitivity analysis to assess the combined impact of shift in risk factors under three levels of severity, and a reverse stress test to determine the losses that the Bank would incur so that it triggers 10.5% CAR as the reverse stress test threshold, along with conducting it at 8% threshold.

g. The strategies and processes to manage, hedge and mitigate risks that arise from the bank's business model and the processes for monitoring the continuing effectiveness of hedges and mitigants.

SNB's risk governance structure is designed to manage and mitigate various risks highlighted earlier. Primarily, risks are mitigated through various policies, limits, and proactive actions. A description of major risk mitigation process is provided in the next page.

Credit Risk Mitigation

The Bank uses a wide variety of techniques to optimize the credit risk on its lending; one important credit risk mitigation technique is accepting guarantees and collaterals with the appropriate coverage. The Bank ensures

that the collateral held is sufficiently liquid, legally effective and regularly valued. The method and frequency of revaluation depend on the nature of the collateral involved. Types of acceptable collateral to the Bank include time and other cash deposits, financial guarantees, equities, real estate, other fixed assets and salary assignment in case of certain individual segments.

The collateral is held mainly against commercial and individual financings and is managed against relevant exposures at its net realizable values. SNB monitors the market value of collaterals and requests additional collaterals in accordance with the underlying agreements. Whenever possible, financings are secured by acceptable forms of collateral in order to mitigate credit risk.

SNB's policy is to lend against the cash flow of an operating commercial entity as a first way and primary source of repayment. Collaterals provided by the customer shall be considered only as a secondary source for repayment.

Liquidity Risk Mitigation

In order to mitigate the risk of a funding crisis and to effectively prepare for the same, a Contingency Funding Plan (CFP) has been established by the Bank. CFP is the compilation of policies, procedures and action plans for assessing and responding to severe disruptions to the Bank's ability to fund some or all of its activities in a timely manner and at a reasonable cost. In essence, it combines early warning indicators and advance preparation for potential high severity/low probability liquidity risk. At SNB, the CFP framework is put in place to ensure the following.

The Bank is resilient to funding shocks;

The Bank continues to operate, as normal as possible, during a funding crisis to protect franchise value;

There is no need for forced additional funding or equity at an unacceptable cost;

The Bank returns to a "business as normal" posture as soon as possible;

Interest rate risk is calculated and reported to the ALCO on a monthly basis. Following is a sample of interest rate risk mitigation actions;

Earning sensitivity to a parallel shift in the yield curve is calculated and reported to ALCO on a monthly basis;

DV01 is calculated and reported to ALCO on a monthly basis; and

Hedging is used as appropriate to manage interest rate risk.

OV1 – Overview of RWA

SAR '000		RWA		Minimum capital Requirements	Significant change
		Dec-24	Sep-24	Dec-24	
1	Credit risk (excluding counterparty credit risk)	586,839,556	618,067,780	46,947,164	Settlement of major loans and optimization of corporate commitments
2	Of which: standardized approach (SA)	586,839,556	618,067,780	46,947,164	
3	Of which: foundation internal ratings-based (F-IRB) approach				
4	Of which: supervisory slotting approach				
5	Of which: advanced internal ratings-based (A-IRB) approach				
6	Counterparty credit risk (CCR)	8,861,664	9,667,318	708,933	Decrease in derivatives EAD in higher RW buckets
7	Of which: standardized approach for counterparty credit risk	8,861,664	9,667,318	708,933	
8	Of which: IMM				
9	Of which: other CCR				
10	Credit valuation adjustment (CVA)	10,665,863	14,097,933	853,269	Decrease in derivatives EAD in higher RW buckets
11	Equity positions under the simple risk weight approach and the internal model method during the five-year linear phase-in period				
12	Equity investments in funds – look-through approach	68,174,031	61,860,889	5,453,922	Increase alternative investments
13	Equity investments in funds – mandate-based approach	2,285,329	3,059,415	182,826	
14	Equity investments in funds – fallback approach	5,179,498	4,685,230	414,360	
15	Settlement risk				
16	Securitization exposures in banking book	2,818,223	2,654,294	225,458	
17	Of which: securitization IRB approach (SEC-IRBA)				
18	Of which: securitization external ratings-based approach (SEC-ERBA), including internal assessment approach (IAA)	2,818,223	2,654,294	225,458	
19	Of which: securitization standardized approach (SEC-SA)				
20	Market risk	30,196,171	19,162,367	2,415,694	Equities in the trading book
21	Of which: standardized approach (SA)	30,196,171	19,162,367	2,415,694	
22	Of which: internal model approach (IMA)				
23	Capital charge for switch between trading book and banking book				
24	Operational risk	39,309,946	39,309,946	3,144,796	
25	Amounts below the thresholds for deduction (subject to 250% risk weight)				
26	Output floor applied				
27	Floor adjustment (before application of transitional cap)				
28	Floor adjustment (after application of transitional cap)				
29	Total (1 + 6 + 10 + 11 + 12 + 13 + 14 + 15 + 16 + 20 + 23 + 24 + 25 + 28)	754,330,280	772,565,174	60,346,422	

Part 3 – Linkages between financial statements and regulatory exposures

LI1 – Differences between accounting and regulatory scopes of consolidation and mapping of financial statements with regulatory risk categories

SAR '000	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Carrying values of items:				
			Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitization framework	Subject to the market risk framework	Subject to the market risk framework
Assets							
Cash and balances with SAMA	42,119,698	42,119,698	42,119,698				
Due from banks and other financial institutions, net	21,088,423	21,088,423	21,088,423				
Investments, net	292,486,807	292,486,807	283,616,336		13,007,744	8,870,471	
Financing and advances, net	654,252,346	654,252,346	654,252,346				
Positive fair value of derivatives, net	27,375,451	27,375,451		27,375,451			
Property, equipment, and software, net	11,887,664	11,887,664	11,887,664				
Goodwill	34,006,782	34,006,782					34,006,782
Intangible assets	5,741,968	5,741,968					5,741,968
Right of use assets, net	1,005,658	1,005,658	1,005,658				
Other assets	14,189,843	14,189,843	8,125,411	6,064,432			
Total assets	1,104,154,640	1,104,154,640	1,022,095,535	33,439,883	13,007,744	8,870,471	39,748,750
Liabilities							
Due to banks and other financial institutions	185,119,790						185,119,790
Customers' deposits	579,762,107						579,762,107
Debt securities issued and term loans	95,305,371						95,305,371
Negative fair value of derivatives, net	25,903,307	25,903,307		25,903,307			
Other liabilities	24,788,804						24,788,804
Total liabilities	910,879,379	25,903,307	-	25,903,307	-	-	884,976,072

LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements

SAR '000		Total	Items subject to:			
			Credit risk framework	Securitization framework	Counterparty credit risk framework	Market risk framework
1	Asset carrying value amount under scope of regulatory consolidation (as per template LI1)	1,104,154,640	1,022,095,535	13,007,744	33,439,883	8,870,471
2	Liabilities carrying value amount under regulatory scope of consolidation (as per template LI1)	25,903,307	-	-	25,903,307	-
3	Total net amount under regulatory scope of consolidation	1,078,251,333	1,022,095,535	13,007,744	7,536,576	8,870,471
4	Off-balance sheet amounts	105,003,089	105,003,089			
5	Difference due to Potential Future Exposure	7,353,744			7,353,744	
6	Differences due to different netting rules, other than those already included in row 2	9,649,228			9,649,228	
7	Differences due to consideration of provisions	10,405,223	10,405,223			
8	Differences due to Goodwill	(39,748,750)				
9	Differences due to prudential filters	11,077,455	11,077,455			
10	Other adjustment*	(8,870,471)				(8,870,471)
11	Exposure amounts considered for regulatory purposes	1,173,120,850	1,148,581,302	13,007,744	24,539,548	-

*Exposure at default is not calculated under the market risk framework, resulting in a difference between carrying values and exposure amounts considered for regulatory purposes. Therefore, the total amount of carrying values according to the market risk framework is deducted in the final line Other adjustment above.

LIA – Explanations of differences between accounting and regulatory exposure amounts

In on-balance sheet amounts, there are no differences between carrying values as reported in published financial statements and carrying values under scope of regulatory consolidation. However, off-balance sheet and derivatives amounts have been reported as notional figures in published financials while credit equivalent amounts have been considered under regulatory scope framework after applying Credit Conversion Factors (CCF) in off-balance sheet items including adjustments in derivative portfolio.

For valuation methodologies please refer to notes 2.6, and 36 of the Audited Financial Statements for the year ended 31 December 2024.

Template ENC: Asset encumbrance

SAR'000	Encumbered assets	Unencumbered assets	Total
Cash Collateral Posted	1,904,174		1,904,174
Sovereign debt	850,000		850,000
Equity Securities			
Repurchase Agreements	98,655,339		98,655,339
Others		1,002,745,127	1,002,745,127
Total	101,409,513	1,002,745,127	1,104,154,640

Part 4 – Composition of capital and TLAC

CC1 - Composition of regulatory capital

		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation	Significant Change
SAR '000				
	Common Equity Tier 1 capital: instruments and reserves			
1	Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	123,701,800	(h)	Organic growth
2	Retained earnings	14,351,189		
3	Accumulated other comprehensive income (and other reserves)	35,424,179		
4	Directly issued capital subject to phase-out from CET1 capital (only applicable to non-joint stock companies)	-		
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1 capital)	520,465		
6	Common Equity Tier 1 capital before regulatory adjustments	173,997,633		
	Common Equity Tier 1 capital: regulatory adjustments			
7	Prudent valuation adjustments	-		No major change
8	Goodwill (net of related tax liability)	(34,006,782)	(a)	
9	Other intangibles other than mortgage servicing rights (MSR) (net of related tax liability)	(5,741,970)	(b)	
10	Deferred tax assets (DTA) that rely on future profitability, excluding those arising from temporary differences (net of related tax liability)	-		
11	Cash flow hedge reserve	32,755		
12	Shortfall of provisions to expected losses	-		
13	Securitization gain on sale (as set out in [CAP30.14])	-		
14	Gains and losses due to changes in own credit risk on fair valued liabilities	-		
15	Defined benefit pension fund net assets	-		
16	Investments in own shares (if not already subtracted from paid-in capital on reported balance sheet)	(2,099,227)		
17	Reciprocal cross-holdings in common equity	-		
18	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-		

19	Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)	-		
20	MSR (amount above 10% threshold)	-		
21	DTA arising from temporary differences (amount above 10% threshold, net of related tax liability)	-		
22	Amount exceeding the 15% threshold	-		
23	Of which: significant investments in the common stock of financials	-		
24	Of which: MSR	-		
25	Of which: DTA arising from temporary differences	-		
26	National specific regulatory adjustments	437,357		
27	Regulatory adjustments applied to Common Equity Tier 1 capital due to insufficient Additional Tier 1 and Tier 2 capital to cover deductions	-		
28	Total regulatory adjustments to Common Equity Tier 1 capital	(41,377,867)		
29	Common Equity Tier 1 capital (CET1)	132,619,766		Issuance of AT1
	Additional Tier 1 capital: instruments			
30	Directly issued qualifying additional Tier 1 instruments plus related stock surplus	20,187,500	(i)	
31	Of which: classified as equity under applicable accounting standards	20,187,500		
32	Of which: classified as liabilities under applicable accounting standards			
33	<i>Directly issued capital instruments subject to phase-out from additional Tier 1 capital</i>			
34	Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group additional Tier 1 capital)	237,601		
35	<i>Of which: instruments issued by subsidiaries subject to phase-out</i>			
36	Additional Tier 1 capital before regulatory adjustments	20,425,101		
	Additional Tier 1 capital: regulatory adjustments			
37	Investments in own additional Tier 1 instruments			
38	Reciprocal cross-holdings in additional Tier 1 instruments			
39	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)			
40	Significant investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation			
41	National specific regulatory adjustments			
42	Regulatory adjustments applied to additional Tier 1 capital due to insufficient Tier 2 capital to cover deductions			
43	Total regulatory adjustments to additional Tier 1 capital			
44	Additional Tier 1 capital (AT1)	20,425,101		

45	Tier 1 capital (T1 = CET1 + AT1)	153,044,867		
	Tier 2 capital: instruments and provisions			
46	Directly issued qualifying Tier 2 instruments plus related stock surplus			Release/reallocation in general provision associated with a major loan settlement
47	Directly issued capital instruments subject to phase-out from Tier 2 capital			
48	Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	79,200		
49	Of which: instruments issued by subsidiaries subject to phase-out			
50	Provisions	3,979,922		
51	Tier 2 capital before regulatory adjustments	4,059,123		
	Tier 2 capital: regulatory adjustments			
52	Investments in own Tier 2 instruments			
53	Reciprocal cross-holdings in Tier 2 instruments and other TLAC liabilities			
54	Investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)			
54a	Investments in the other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation and where the bank does not own more than 10% of the issued common share capital of the entity: amount previously designated for the 5% threshold but that no longer meets the conditions (for G-SIBs only)			
55	Significant investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation (net of eligible short positions)			
56	National specific regulatory adjustments			
57	Total regulatory adjustments to Tier 2 capital	0		
58	Tier 2 capital (T2)	4,059,123		
59	Total regulatory capital (TC = T1 + T2)	157,103,990		
60	Total risk-weighted assets	754,330,280		
	Capital Adequacy Ratios and buffers			
61	Common Equity Tier 1 capital (as a percentage of risk-weighted assets)	17.58%		
62	Tier 1 capital (as a percentage of risk-weighted assets)	20.29%		
63	Total capital (as a percentage of risk-weighted assets)	20.83%		
64	Institution-specific buffer requirement (capital conservation buffer plus countercyclical buffer requirements plus higher loss absorbency requirement, expressed as a percentage of risk-weighted assets)	4.18%		
65	Of which: capital conservation buffer requirement	2.50%		
66	Of which: bank-specific countercyclical buffer requirement	0.18%		

67	Of which: higher loss absorbency requirement	1.50%		
68	Common Equity Tier 1 capital (as a percentage of risk-weighted assets) available after meeting the bank's minimum capital requirements	8.90%		
	National minima (if different from Basel III)			
69	National minimum Common Equity Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A		
70	National minimum Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A		
71	National minimum Total capital adequacy ratio (if different from Basel III minimum)	N/A		
	Amounts below the thresholds for deduction (before risk-weighting)			
72	Non-significant investments in the capital and other TLAC liabilities of other financial entities			
73	Significant investments in the common stock of financial entities			
74	MSR (net of related tax liability)			
75	DTA arising from temporary differences (net of related tax liability)			
	Applicable caps on the inclusion of provisions in Tier 2 capital			
76	Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to standardized approach (prior to application of cap)	4,059,123		
77	Cap on inclusion of provisions in Tier 2 capital under standardized approach	8,560,302		
78	Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to internal ratings-based approach (prior to application of cap)			
79	Cap for inclusion of provisions in Tier 2 capital under internal ratings-based approach			
	Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)			
80	Current cap on CET1 instruments subject to phase-out arrangements	N/A		
81	Amount excluded from CET1 capital due to cap (excess over cap after redemptions and maturities)	N/A		
82	Current cap on AT1 instruments subject to phase-out arrangements	N/A		
83	Amount excluded from AT1 capital due to cap (excess over cap after redemptions and maturities)	N/A		
84	Current cap on Tier 2 instruments subject to phase-out arrangements	N/A		
85	Amount excluded from Tier 2 capital due to cap (excess over cap after redemptions and maturities)	N/A		

CC2 – Reconciliation of regulatory capital to balance sheet

SAR '000	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	Q4 2024	Q4 2024	
Assets			
Cash and balances with SAMA	42,119,698	42,119,698	
Due from banks and other financial institutions, net	21,088,423	21,088,423	
Investments, net	292,486,807	292,486,807	
Financing and advances, net	654,252,346	654,252,346	
Positive fair value of derivatives, net	27,375,451	27,375,451	
Investments in associates, net	-	-	
Property, equipment and software, net	11,887,664	11,887,664	
Goodwill	34,006,782	34,006,782	(a)
Intangible assets	5,741,968	5,741,968	(b)
Right of use assets, net	1,005,658	1,005,658	
Other assets	14,189,843	14,189,843	
Total assets	1,104,154,640	1,104,154,640	
Liabilities			
Due to banks and other financial institutions	185,119,790		
Customers' deposits	579,762,107		
Debt securities issued and term loans	95,305,371		
Negative fair value of derivatives, net	25,903,307	25,903,307	
Other liabilities	24,788,804		
Total liabilities	910,879,379	25,903,307	
Shareholders' Equity			
Share capital	60,000,000	60,000,000	
Share premium	63,701,800	63,701,800	
Tier 1 Sukuk	21,187,500	21,187,500	
Of which: amount eligible for CET1	123,701,800	123,701,800	(h)
Of which: amount eligible for AT1	20,425,101	20,425,101	(i)
Treasury shares	(2,099,227)	(2,099,227)	
Statutory reserve	46,481,447	46,481,447	
Other reserves (cumulative changes in fair values)	(3,404,926)	(3,404,926)	
Employees' share-based payments reserve	460,764	460,764	
Retained earnings	14,351,188	14,351,188	
Foreign currency translation reserve	(8,113,107)	(8,113,107)	
Non-controlling interests	709,822	709,822	
of which Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)	520,465	520,465	
Total shareholders' equity	193,275,261	193,275,261	

CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments

Quantitative / qualitative information								
1	Issuer	Saudi National Bank	Saudi National Bank	Saudi National Bank	Saudi National Bank	Issuer: NCB Tier 1 Sukuk Limited / Obligor: Saudi National Bank	SNB Capital	Saudi National Bank
2	Unique identifier (eg Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	SNB AB	N/A	N/A	N/A	ISIN: XS2280537916	SA15PFK0JT31	ISIN: SA156VK0M1J2
3	Governing law(s) of the instrument	Saudi Arabia	Law of the Kingdom of Saudi Arabia	Law of the Kingdom of Saudi Arabia	Law of the Kingdom of Saudi Arabia	English Law	The instrument is governed by the laws of the Kingdom of Saudi Arabia	Law of the Kingdom of Saudi Arabia
3a	Means by which enforceability requirement of	N/A	N/A	N/A	N/A	N/A	N/A	N/A
4	Transitional Basel III rules	N/A	Additional Tier 1 Capital	Additional Tier 1 Capital	Additional Tier 1 Capital	Additional Tier 1 Capital	Additional Tier 1 Capital	Additional Tier 1 Capital
5	Post-transitional Basel III rules	N/A	Eligible	Eligible	Eligible	Eligible	Eligible	Eligible
6	Eligible at solo/group/group and solo	Group and Solo	Group and Solo	Group and solo	Group and solo	Group and Solo	Group and Solo	Group and Solo
7	Instrument type (refer to SACAP)	Ordinary shares	Subordinated Sukuk	Subordinated Sukuk	Subordinated Sukuk	Subordinated Sukuk	Subordinated Sukuk	Subordinated Sukuk
8	Amount recognised in regulatory capital	SAR 60,000 mil	SAR 2,000mil	SAR 4,200 Mil	SAR 3,300 Mil	USD 1,250mil	SAR 298 Mil	SAR 6,000 Mil
9	Par value of instrument	SAR 10	SAR 2,000mil	SAR 4,200 Mil	SAR 3,300 Mil	USD 1,250mil	SAR 1,000 Mil	SAR 6,000 Mil
10	Accounting classification	Equity	Equity	Equity	Equity	Equity	Equity	Equity
11	Original date of issuance	11/12/2014	15/7/2015	30/6/2020	15/9/2022	26/1/2021	2/8/2023	21/11/2024
12	Perpetual or dated	Perpetual	Perpetual	Perpetual	Perpetual	Perpetual	Perpetual	Perpetual
13	Original maturity date	N/A	N/A	N/A	N/A	N/A	N/A	N/A
14	Issuer call subject to prior SAMA approval	N/A	Yes	Yes	Yes	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	N/A	In compliance with Basel III, the first call date is 15 July 2025 which is equal to 10 years following the date of the issuance; in addition (on any profit distribution date after the date of issuance), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount.	In compliance with Basel III, the first call date is 30 June 2025 which is equal to 5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.	In compliance with Basel III, the first call date is 15 September 2027 which is equal to 5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.	In compliance with Basel III, the first call date is 26 July 2026 which is equal to 5.5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.	Compliant with Basel requirements for call date to be equal to or greater than 5 years	In compliance with Basel III, the Issuer may call the Sukuk on any date from (and including) 21 November 2029 (being the first call date, and falling 5 years after the date of the issuance) to 21 May 2030 (being the first reset date), and any profit distribution date thereafter; in addition, upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.
16	Subsequent call dates, if applicable	N/A	Any profit distribution dates after the first call date	In relation to the issuer call option, any profit distribution date following the first call date	In relation to the issuer call option, any profit distribution date following the first call date	The first call date and any date thereafter up to and including the first reset date which is 26 January 2027; any profit distribution dates thereafter	Any profit distribution date following the first call date	As above - in relation to the issuer call option, any profit distribution date following the first call date.
<i>Coupons / dividends</i>								
17	Fixed or floating dividend/coupon	N/A	Floating	Variable	Variable	Variable	Fixed	Fixed
18	Coupon rate and any related index	N/A	3-month offered rate for deposits in Saudi Riyals + 3.25% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	4.25% p.a. from (and including) the date of issuance to (but excluding) the first call date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 2.85% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	5.00% p.a. from (and including) the date of issuance to (but excluding) the first call date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 1.003% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	3.50% p.a. from (and including) the date of issuance to (but excluding) the first reset date; reset every six years thereafter to Relevant Six Year Reset Rate (as defined in the conditions of the instrument) + 2.889% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	5.8% from (including date of issuance) to (excluding the first optional call date), reset every five years thereafter.	6.00% p.a. from (and including) the date of issuance to (but excluding) the first reset date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 1.0504% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
19	Existence of a dividend stopper	N/A	Yes	Yes	Yes	Yes	Yes	Yes
20	Fully discretionary, partially discretionary or mandatory	N/A	Fully Discretionary	Fully discretionary	Fully discretionary	Fully discretionary	Fully discretionary or mandatory	Fully discretionary
21	Existence of step-up or other incentive to	N/A	None	None	None	None	None	None
22	Non-cumulative or cumulative	N/A	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	N/A	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	None	None	None	None	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional	N/A	N/A	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type	N/A	N/A	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it	N/A	N/A	N/A	N/A	N/A	N/A	N/A
30	Writedown feature	N/A	Yes	Yes	Yes	Yes	Yes	Yes
31	If writedown, writedown trigger(s)	N/A	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Non-Viability Event	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
32	If writedown, full or partial	N/A	Full or partial write-down	Full or partial write-down	Full or partial write-down	Written down fully or partial	Full or partial write-down	Full or partial write-down
33	If writedown, permanent or temporary	N/A	Permanent	Permanent	Permanent	Permanent	Permanent	Permanent
34	If temporary write-down, description of	N/A	N/A	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination	N/A	N/A	N/A	N/A	N/A	Direct, unsecured, unconditional and subordinated obligations	N/A
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	N/A	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).	Subordinate and junior to all Senior Obligations	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including any Tier II subordinated sukukholders)
36	Non-compliant transitioned features	N/A	N/A	N/A	N/A	N/A	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A	N/A	N/A

CDC – Capital distribution constraints

		A	B
		CET1 capital ratio that would trigger capital distribution constraints (%)	Current CET1 capital ratio (%)
1	CET1 requirement plus Basel III buffers (not taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	8.68%	17.58%
2	CET1 requirement plus Basel III buffers (taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	8.68%	
		Leverage ratio that would trigger capital distribution constraints (%)	Current leverage ratio (%)
3	[Applicable only for G-SIBs] Leverage ratio	N/A	N/A

Part 5 – Macro prudential supervisory measures

CCyB1 – Geographical distribution of credit exposures used in the countercyclical buffer

SAR '000

Geographical breakdown	Countercyclical capital buffer rate	Exposure values and/or risk-weighted assets used in the computation of the countercyclical capital buffer		Bank-specific countercyclical capital buffer rate	Countercyclical buffer amount
		Exposure values	Risk-weighted assets		
Belgium	0.50%	1,206	362	2	
Chile	0.50%	2,374,513	1,375,750	6,879	
Luxembourg	0.50%	7,350,818	8,400,577	42,003	
Germany	0.75%	142,080	75,223	564	
Australia	1.00%	31,752	31,752	318	
France	1.00%	1,723,522	675,432	6,754	
Korea	1.00%	6,379,513	1,382,587	13,826	
Hong Kong SAR	1.00%	203,206	81,196	812	
Korea	1.00%	621,438	378,338	3,783	
Ireland	1.50%	-	-	-	
Netherlands	2.00%	128,592	25,807	516	
Sweden	2.00%	318	64	1	
United Kingdom	2.00%	24,104,360	5,225,644	104,513	
Denmark	2.50%	1,494	299	7	
Norway	2.50%	5,516	1,103	28	
Others	2.50%	82,492,536	34,459,346	861,484	
Sum		125,560,863	52,113,479	1,041,490	
Total		761,242,067	573,543,576	0.18%	1,041,490

Part 6 – Leverage ratio

LR1 – Summary comparison of accounting assets vs leverage ratio exposure measure

SAR '000

1	Total consolidated assets as per published financial statements	1,104,154,640
2	Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	
3	Adjustment for securitized exposures that meet the operational requirements for the recognition of risk transference	
4	Adjustments for temporary exemption of central bank reserves (if applicable)	
5	Adjustment for fiduciary assets recognized on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	(6,064,432)
6	Adjustments for regular-way purchases and sales of financial assets subject to trade date accounting	
7	Adjustments for eligible cash pooling transactions	
8	Adjustments for derivative financial instruments	(5,150,748)
9	Adjustment for securities financing transactions (i.e. repurchase agreements and similar secured lending)	
10	Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)	105,003,089
11	Adjustments for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital	
12	Other adjustments	(39,748,750)
13	Leverage ratio exposure measure	1,158,193,798

LR2 –ratio common disclosure template

		Q4 2024	Q3 2024
On-balance sheet exposures			
1	On-balance sheet exposures (excluding derivatives and securities financing transactions (SFTs), but including collateral)	1,074,464,345	1,101,455,643
2	Gross-up for derivatives collateral provided where deducted from balance sheet assets pursuant to the operative accounting framework		
3	(Deductions of receivable assets for cash variation margin provided in derivatives transactions)	(6,064,432)	(5,508,511)
4	(Adjustment for securities received under securities financing transactions that are recognized as an asset)		
5	(Specific and general provisions associated with on-balance sheet exposures that are deducted from Tier 1 capital)		
6	(Asset amounts deducted in determining Tier 1 capital and regulatory adjustments)	(39,748,750)	(39,953,822)
7	Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of rows 1 to 6)	1,028,651,163	1,055,993,310
Derivative exposures			
8	Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin, with bilateral netting and/or the specific treatment for client cleared derivatives)	16,340,776	13,072,346
9	Add-on amounts for potential future exposure associated with all derivatives transactions	8,198,772	8,611,387
10	(Exempted central counterparty (CCP) leg of client-cleared trade exposures)		
11	Adjusted effective notional amount of written credit derivatives		
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)		
13	Total derivative exposures (sum of rows 8 to 12)	24,539,548	21,683,733
Securities financing transaction exposures			
14	Gross SFT assets (with no recognition of netting), after adjusting for sale accounting transactions		
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)		
16	Counterparty credit risk exposure for SFT assets		
17	Agent transaction exposures		
18	Total securities financing transaction exposures (sum of rows 14 to 17)		
Other off-balance sheet exposures			
19	Off-balance sheet exposure at gross notional amount	244,702,619	298,703,550
20	(Adjustments for conversion to credit equivalent amounts)	(139,699,531)	(178,659,311)
21	(Specific and general provisions associated with off-balance sheet exposures deducted in determining Tier 1 capital)		
22	Off-balance sheet items (sum of rows 19 to 21)	105,003,089	120,044,239
Capital and total exposures			
23	Tier 1 capital	153,044,867	143,760,046
24	Total exposures (sum of rows 7, 13, 18 and 22)	1,158,193,800	1,197,721,282
Leverage ratio			
25	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves)	13.21%	12.00%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves)	13.21%	12.00%
26	National minimum leverage ratio requirement	3%	3%
27	Applicable leverage buffers	10%	9%
Disclosures of mean values			
28	Mean value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables		
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables		
30	Total exposures (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		
30a	Total exposures (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		
31	Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		
31a	Basel III leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		

Part 7 – Liquidity

LIQA – Liquidity Risk Management

SNB's liquidity risk is managed through an approved policy to ensure that the Bank maintains a strong liquidity position, making it more resilient to short-term and long-lasting funding shocks, enabling the bank in managing and maintaining liquidity in line with the approved risk appetite. The policy defines the Bank's objectives for managing liquidity risk and sets conditions for the calculation of the minimum size of the Liquidity buffer and the funding needed to support an adequate liquidity buffer. The policy's objective is to strike a prudent balance between liquidity and profitability for all currencies to maintain a strong liquidity position, which would sustain the confidence of investors, regulators, and rating agencies and improve both funding costs and availability. The policy follows the following objectives.

Ensuring the Bank's ability to generate or obtain cash or cash equivalent (collateral) in a timely and cost-efficient manner so that obligations can be met as they become due in both normal and stressed periods.

Knowing the Bank's position at any point in time, by currency and by maturity, to replace maturing obligations when they fall due, fund assets at appropriate maturities and rates, and support credit ratings and Bank's profitability.

Ensuring that profitable business opportunities can be pursued in all market environments for an extended period without liquidating assets at undesirable times & terms or raising additional unsecured funding on an unreasonable scale.

f. Asset Liability Management (ALM) Policy

The purpose of the ALM Policy is to set out the governance and management of the asset-liability structure and the key components of ALM as they are relevant to the Bank. ALM policy is designed to assist in optimizing the balance sheet structure and to ensure banking operations are conducted in line with SNB's strategy, risk appetite, prudential controls and limits as defined with the budget process. The primary objectives underpinning the ALM policy are the following:

Link liquidity, funding, and capital strategy to short-term and long-term liquidity needs and cash flows requirements, including considering the impact of financial distress, disturbance or significant financial loss situations; and

Consider interest rate risk/hedging/return strategy for the Bank to ensure optimal balance sheet structure within the Bank.

A vital component of the ALM is liquidity management, which focuses on the prudent management of asset-liability structure from a solvency standpoint and ensures the continued viability and funding of SNB in a time of crisis.

g. Liquidity Management Practices within the Bank

The Bank, through the aforementioned risk governance arrangements and organizational structure, manages its liquidity risks through well-established policies, processes, and tools that meet minimum necessary regulatory requirements and industry best practices. SNB defines liquidity risk as a "scenario" when it cannot meet its net funding requirements as they fall due, which can be caused by systemic and/or idiosyncratic events. Liquidity risk management at SNB also involves forecasting funding requirements and maintaining sufficient capacity to meet the needs and accommodate fluctuations in asset and liability levels due to business operations changes or unanticipated events. Below is a description of major liquidity risk assessment and monitoring tools employed at SNB.

h. Balance Sheet Analysis by Currency

A comprehensive analysis is conducted on all major currencies in which the Bank is active to ensure adequate coverage. Some of the main ratios studied among others include LDR (both simple and regulatory), Basel III recommended ILAAP pillar 1 ratios, LCR, NSFR, LDR and SLR.

i. Liquidity Cushion

In addition to diversifying the Bank's asset book, the investment portfolio provides an avenue to allocate the Bank's liquidity towards a high proportion of readily marketable securities including Saudi Government Debt, SAMA bills, Government and other Investment Grade Securities or otherwise liquid non-investment grade securities. This approach is commensurate with High Quality Liquid Assets calculations for LCR.

j. Funding Concentration

The ALCO monitors, as appropriate, funding concentrations to ensure there is no excessive reliance on a particular product or a few customers without proper safeguards. Along these lines, current, call and time deposits funding concentrations are monitored through the ALCO process. Liability diversification is also examined through the following aspects:

- Nature of fund provider: individuals, corporations, and financial institutions;
- Funding Instruments: secured and unsecured, FX swaps, FX Spot and Issuances;
- Maturity; and
- Currency.

k. Intraday Liquidity

The Group Treasury ensures managing the intraday liquidity efficiently through on-going cash flow and position monitoring in conjunction with the relevant Wholesale Operations teams. The limit with SAMA is built into the Electronic Funds Transfer (EFT) system to include a maximum short position that is sufficient to accommodate intraday movements. This is done to safeguard the Bank from mismatches occurring during the clearing time when receipts and payments are staggered over several hours. The SAMA EFT system includes all interbank, customer, and SAMA specific SAR credits and debits to provide a clear picture of the Bank's position on a real-time basis.

l. Maximum Cumulative Outflow

Maximum Cumulative Outflow (MCO) analyzes the Bank's balance sheet maturities and estimates cumulative net cash outflows/inflows across defined time buckets. The Bank has in place MCO assumptions by different time buckets and by currency, by taking into account the current market depth and the Bank's ability to tap the market through various instruments. These assumptions are intended to control the absolute level of liquidity shortfalls at different periods of time for each significant individual currency in which the Bank operates. The MCO provides a useful analysis to ascertain the Bank's liquidity position based on expected inflows and outflows. The bank shall continue to enhance the MCO process and institute MCO Limits/Targets, as appropriate to manage and report absolute level of liquidity shortfalls, if any at various tenors.

m. Collateral Management

The Bank manages its collateral positions through active margining and overall margin maintenance in compliance with Basel document "Principals of sound liquidity Risk Management and Supervision". The collateral management team manages this process in the Wholesale Operations.

n. Monitoring of Liquidity Positions

A Bank-wide liquidity risk management framework is in place to monitor and manage the liquidity position across various horizons. Group Treasury monitors the liquidity position through daily cash flow reports by taking into account all known cash flows as a result of all known contractual commitments. The report is prepared for all major currencies to assess the adequacy of the liquidity position by ensuring future cash flows are only mismatched to the extent that it would not interrupt normal business operations. Finance Group produces a dashboard / analysis that breaks down various assets and liabilities, including the off-balance sheet items. The output allows multiple comparisons of the key balance sheet items to identify any problem areas or situations before they arise.

o. Stress Testing

The Bank runs different types of scenario tests to forecast different situations from a liquidity standpoint; these scenarios include LCR and NSFR stress scenarios among others. The results help in recognizing the potential liquidity sources and strains and are used to adjust the liquidity management strategies, policies appropriately, and positions to ensure the current exposures remain within the Bank's established liquidity risk tolerance.

p. Funds Transfer Pricing

Funds transfer pricing (FTP) is an internal measurement and allocation process that assigns a profit contribution value to funds raised and lent/invested by the Bank. SNB has an FTP framework in place, to ensure effective balance sheet management and optimization of profitability by accurately incorporating liquidity premium into pricing. The main objective of the FTP is to compute the total cost of liquidity consumed by all business activities for given maturities. The framework implemented a methodology for computing the FTP components, i.e. the base rate and market access premium across different tenors and for major currencies. Governance around the computation and usage of FTP has been laid down by the Bank's FTP policy to ensure robustness and effectiveness of the framework.

As a result, the FTP has been adopted in the decision-making process of SNB's activities, namely portfolio performance and pricing of prospective relationships through an account profitability model. Moreover, SNB maintains a dashboard that facilitates communication to all the businesses of the Bank. SNB will continue its efforts to adopt best practices in managing liquidity throughout its business activities.

q. Contingency Funding Plan

In order to mitigate the risk of a funding crisis and to effectively prepare for the same, a Contingency Funding Plan (CFP) has been established by the Bank. CFP is the compilation of policies, procedures and action plans for assessing and responding to severe disruptions to the Bank's ability to fund some or all of its activities in a timely manner and at a reasonable cost. In essence, it combines early warning indicators and advance preparation for potential high severity/low probability liquidity risk. At SNB, the CFP framework is put in place to ensure the following:

The Bank is resilient to funding shocks.

The Bank continues to operate, as normal as possible, during a funding crisis to protect franchise value.

There is no need for forced additional funding or equity at an unacceptable cost.

The Bank returns to a "business as normal" posture as soon as possible.

The ALCO sets the broad framework for the Group Treasury in seeking to ensure that SNB is constantly able to meet its financial commitments. An ALCO meeting is held every month to handle, consider and address

any issues relating to maturity mismatches, commission rate risk/sensitivity and yield/cost analysis. Key features of the Bank's ongoing liquidity risk mitigation plan are as below.

SNB maintains a minimum of liquid assets to manage unforeseen conditions.

The Bank manages its liquidity and cash flow dynamically through various money market instruments such as interbank placements, repo and long-term debt products, and hybrid structures.

ALCO is informed of any significant changes made to the pricing strategy and environment.

Diversification of the depositor base is achieved by reducing dependence on large depositors and maintaining a mix of deposits.

A periodic look through of the investment book liquidity profile under different market conditions is undertaken.

Additional quantitative disclosures

SAR '000

2024	Within 3 Months	3 to 12 Months	1 to 5 Years	Over 5 Years
Assets	231,333,720	199,227,237	195,113,297	328,048,264
Liabilities	388,227,051	70,862,233	54,898,800	4,649,751
On Balance Sheet Liquidity Gap	(156,893,331)	128,365,004	140,214,497	323,398,513
Off Balance Sheet Commitments	43,903,628	39,375,683	51,135,542	25,249,034

SNB measures its liquidity positions by monitoring liquidity gaps for various buckets as well as through Basel III liquidity ratios, SAMA's statutory liquidity ratio and keeping an eye on intraday positions. In the above table, cash inflows and outflows are bucketed based on contractual maturities, while exposures with no maturity are slotted into Over 5 years' bucket. This methodology to determine liquidity gaps is monitored and managed by ALCO.

SNB does not impose hard limits on funding composition and concentrations, given the nature of funding mix in the Saudi banking system. However, they are very closely managed by the Treasury Group and monitored by the Risk Group and Finance Group. Key measures are monthly reported to ALCO. SNB also monitors concentration in accepted collaterals to ensure its quality and eliminate undue risk.

Funding needs of SNB's subsidiaries are determined and managed at the subsidiary level. To ensure that SNB supports the liquidity position of its subsidiaries and extend resources in times of stress, it sets limits on lines of funding available to subsidiaries based on the budget, additional funding requirements, and liquidity needs. These limits are reviewed on annual basis as part of the budgeting process of the group.

LIQ1 – Liquidity Coverage Ratio (LCR)

SAR '000

		Total unweighted value (average)	Total weighted value (average)
High-quality liquid assets			
1	Total HQLA		169,371,146
Cash outflows			
2	Retail deposits and deposits from small business customers, of which:	348,419,945	31,845,793
3	Stable deposits	0	0
4	Less stable deposits	318,457,928	31,845,793
5	Unsecured wholesale funding, of which:	164,067,937	75,449,412
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	19,288	4,822
7	Non-operational deposits (all counterparties)	163,926,431	75,322,372
8	Unsecured debt	122,218	122,218
9	Secured wholesale funding		4,949,945
10	Additional requirements, of which:	42,181,062	4,976,454
11	Outflows related to derivative exposures and other collateral requirements	427,749	427,749
12	Outflows related to loss of funding on debt products	0	0
13	Credit and liquidity facilities	41,753,313	4,548,705
14	Other contractual funding obligations	14,542,730	152,546
15	Other contingent funding obligations	166,002,135	3,017,979
16	TOTAL CASH OUTFLOWS		120,392,130
Cash inflows			
17	Secured lending (e.g. reverse repos)	0	0
18	Inflows from fully performing exposures	117,710,693	56,533,617
19	Other cash inflows	138,869,709	0
20	TOTAL CASH INFLOWS	2,128,016,531	56,533,617
			Total adjusted value
21	Total HQLA		169,371,146
22	Total net cash outflows		63,858,513
23	Liquidity Coverage Ratio (%)		265.23%

The average LCR is calculated by taking a simple average of monthly figures based on daily average balances beginning from Oct 1st, 2024 to Dec 31st, 2024.

During the period, the Bank held an average of 98.44% of its High-Quality Liquid Assets (HQLAs) in securities with a 0% risk weight, issued or guaranteed by sovereigns, central banks and supranational entities. The remaining 1.56% of HQLAs held a 20% risk weight from securities guaranteed by sovereigns and non-financial corporate bonds rated AA- or better.

The majority of the bank's weighted cash outflows are attributable to non-financial corporates at 46.34% of outflows. Whereas retail and small Businesses' deposits held 26.45%, and bank placements at 13.50%. SNB's derivatives positions are not significant, as most transactions are conducted on a back-to-back basis with limited open positions being taken. The Group's main activities are conducted in SAR, USD, and TRY. The peg between SAR and USD currencies enhances the funding ability and provides the flexibility to interchange between both currencies.

Additionally, following regulatory guidelines, LCR is monitored separately for all significant currencies to ensure the liquidity ratios are met at all times in either currency, SAR, USD and TRY.

The average Q4-2024 LCR is 265.23% as compared to Q3-2024 LCR which was 283.92%, a decrease of 18.69%. The decrease in the LCR between the two periods is primarily due to increase in net cash outflows. However, no significant change has been seen in HQLA.

LIQ2 – Net Stable Funding Ratio (NSFR)

SAR'000		Unweighted value by residual maturity				Weighted value
		No maturity	< 6 months	6 months to < 1 year	≥ 1 year	
Available stable funding (ASF) item						
1	Capital:	-	-	-	198,840,014	198,840,014
2	Regulatory capital				173,997,633	173,997,633
3	Other capital instruments				24,842,381	24,842,381
4	Retail deposits and deposits from small business customers:	322,280,089	49,524,271	6,081,044	2,971,024	343,067,887
5	Stable deposits	-	-	-	-	-
6	Less stable deposits	322,280,089	49,524,271	6,081,044	2,971,024	343,067,887
7	Wholesale funding:	131,718,444	60,272,357	3,418,902	6,097,875	103,802,726
8	Operational deposits	4,565,003	-	-	-	2,282,501
9	Other wholesale funding	127,153,441	60,272,357	3,418,902	6,097,875	101,520,225
10	Liabilities with matching interdependent assets	0	0	0	0	0
11	Other liabilities:	0	263,138,141	14,373,699	40,358,500	47,545,350
12	NSFR derivative liabilities		-	-	-	
13	All other liabilities and equity not included in the above categories	-	263,138,141	14,373,699	40,358,500	47,545,350
14	Total ASF					693,255,977
Required stable funding (RSF) item						
15	Total NSFR high-quality liquid assets (HQLA)					13,984,256
16	Deposits held at other financial institutions for operational purposes	8,874,932	14,010,896	-	26,404,778	37,847,692
17	Performing loans and securities:	14,177,498	230,280,467	37,513,349	402,689,977	487,170,680
18	Performing loans to financial institutions secured by Level 1 HQLA	0	0	0	0	0
19	Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions	-	3,038,804	-	-	455,821
20	Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:	-	220,262,459	37,177,362	370,392,552	443,553,580
21	With a risk weight of less than or equal to 35% under the Basel II standardized approach for credit risk	0	0	0	0	0
22	Performing residential mortgages, of which:	0	0	0	0	0
23	With a risk weight of less than or equal to 35% under the Basel II standardized approach for credit risk	-	-	-	-	-
24	Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	14,177,498	6,979,205	335,987	32,297,424	43,161,280
25	Assets with matching interdependent liabilities	-	-	-	-	-
26	Other assets:	42,646,859	203,658,241	-	100,236,154	108,293,593
27	Physical traded commodities, including gold	531,378				451,671
28	Assets posted as initial margin for derivative contracts and contributions to default funds of central counterparties			7,216,026		6,133,622
29	NSFR derivative assets			1,472,145		1,472,145
30	NSFR derivative liabilities before deduction of variation margin posted			-		-
31	All other assets not included in the above categories	42,115,481	-	-	100,236,154	100,236,154
32	Off-balance sheet items		194,970,070			2,979,666
33	Total RSF					650,275,887
34	Net Stable Funding Ratio (%)					106.61%

As at the end of December 2024, the Bank held a balance of 28.68% of its Available Stable Funding (ASF) in capital, with a 100% ASF factor, comprised of regulatory and other capital instruments.

The majority of Available Stable Funding was held as retail and SME deposits at 49.49%, with a 90% ASF factor, 14.97% of ASF was in wholesale funding, with a 50% ASF factor and the remaining balances were held as other liabilities with different ASF factors.

The Required Stable Funding (RSF) at the end of December 2024 is predominantly comprised of performing loans and securities holding 74.92% of the total Required Stable Funding, with various RSF factors. Of these loans, were performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to financial institutions at 68.28% of the total Required Stable Funding.

The remaining composition of RSF held in HQLA's, deposits held at other financial institutions, other assets and off-balance sheet items.

A comparison with prior semi-annual NSFR is presented in the following table:

Description	Dec-24	Sep-24
NSFR	106.61%	109.44%

The Net Stable Funding Ratio as of December 2024 is 106.61%. A decrease of 2.83% as compared to September 2024 is 109.44%

Part 8 – Credit Risk

CRA – General information about credit risk

Business model and credit risk profile

Credit risk is the risk that a customer or counterparty of SNB fails to meet its obligations in accordance with the relevant agreed terms causing SNB to incur a financial loss. Given the business model, credit risk of the Bank emerges primarily from three sources – (i) financing activities, (ii) investments, and (iii) over the counter derivatives. SNB manages its credit exposure through various tools and functions e.g. target market and risk acceptance criteria (TM & RAC), credit limits, collateral arrangements, exposure management of derivatives book et cetera. Overall credit risk management is governed by the credit and investment policies of the Bank and various bulletins from time to time. Acceptance of specific credit initiation is undertaken either on individual customer basis (mainly in corporate) or on credit program basis (mainly in retail). All acceptances of credit risk are undertaken through the approval by appropriate risk authority levels – either on individual basis or on a program basis that are independent from the origination.

r. Criteria and approach used for defining credit risk management policy and for setting credit risk limits

Credit Risk Policies - There are two main credit risk management policies, viz. Wholesale Bank-Credit Policy Manual and Retail Banking Group Credit Policies.

The Wholesale Bank Credit Policy Manual covers core credit policies for identifying, measuring, approving / managing, and reporting credit risk in the Wholesale Bank. In addition, the Wholesale bank credit policy standard has following two notable features.

Credit Program is used to approve a series of credit proposals where the facility type and associated risks are homogenous in character or for transaction types that require a specific set of TM & RAC such as real estate financing, and project finance.

Credit Procedures are mainly addressed through guideline credit bulletins and appendices approved by the Head of Wholesale Credit Risk Management (HCWR) when the processes are substantially controlled by Wholesale Risk Management. Procedures that are substantially controlled by other business or support units will be written by those units and reviewed by other stakeholders including Wholesale Credit Risk Management.

The Retail Banking Group Credit Policies encompasses the following governance policies.

Retail Banking Credit Policy (RBCP) is the core credit policy for identifying, measuring, approving and reporting credit risk for the Retail Finance portfolio and which also provides the glossary/definition of processes covered by policy documents, broad process descriptions and responsibilities, definition of risk measurement and credit decision-making approaches (e.g., scoring). It also includes the credit discretionary authorities granted to senior risk officers for credit decision making. RCP is owned by Retail Risk Management and approved by the Board of Directors.

Credit Policy Manual (CPM) defines detailed credit policies for Auto Lease, Credit Cards, Personal Finance, and Residential Finance and Business Banking at the product level, which includes authorities at operational level, product level portfolio management & processes, and score cut-offs. Development, approval and custodianship of CPM lies with Retail Risk Management. Any amendment/addition of policies are communicated through Credit Bulletins to all stakeholders, which are incorporated in the respective product CPM on its annual revision. CPM is approved annually upon expiry.

Retail Collections Guideline and Strategy Framework (RCGSF) defines the Collections Policies and Strategies covering both the Collections and Recovery functions. It also includes the discretionary authorities afforded to Collections Management team to maximize recoverability. Collections and Recoveries functions are essential to Retail Finance operation because of the key contribution they play in preserving the quality of the Retail asset portfolio, controlling past due bucket inventories and minimizing credit losses.

The Bank strives to maintain the credit quality of its financing assets through effective risk management practices with an objective to manage loss provisioning, defaults, and write-offs which, in turn, would help the Bank in achieving its financial targets within overall strategy.

Credit Concentration Risk Management Policy – The policy provides a framework that facilitates effective management of concentration at the bank wide level. The policy defines concentration risk as any single credit exposure or group of exposures with the potential to produce losses large enough to threaten SNB's ability to maintain its financial performance. The framework functions under the following principles to identify, assess, control, and mitigate concentration risk:

- Setting parameters which identify sources of concentration risk.
- Determination of measurement methods and acceptable levels of concentration.
- Establishment of concentration risk monitoring and reporting mechanism.
- Development of a mitigation plan in order to treat deviations of acceptable concentration levels in light of the bank's strategy and future plans.

The main objective of the credit concentration policy is to maintain a well-diversified credit loans and investments portfolios. This entails determining the adequate compensation for acceptable concentration levels.

Concentration risk parameters are defined in parallel with SNB's overall strategy, risk appetite and normal course of credit risk management. These parameters include, but are not limited to, business segments, economic sectors, loan products, lending currencies, and maturities.

SNB carries out a regular analysis of its portfolio and exposures and takes into account the results of these analyses in setting limits for identified material concentration parameters, thresholds or similar concepts for concentration risk management. Subsequently, limits are monitored against actual exposures following these steps:

1. Collecting and aggregating input data relevant to identified concentration parameters.
2. Analyzing data and measure the current concentration levels against the approved concentration limits.
3. Reporting the status of the credit portfolio in comparison to the concentration limits.
4. Assess the results of the report and study/analyze the rationale of the movements within the portfolio.
5. Determining whether any actions are needed in cases of breaches or non-breaches.

The credit concentration risk management policy ensures that corrective action plan is communicated to the adequate level of authority. The aim is to instill accountability and enforceability of action plans in a timely manner.

Target Market and Risk Acceptance Criteria (TM & RAC) - When originating a credit relationship and during regular reviews of such relationship, SNB sets a carefully screened Target Market (TM) and an appropriate set of Risk Acceptance Criteria (RAC) to determine the type of client/segment (TM) and type of exposure (RAC). The principle of overall risk acceptance, among other factors, takes into consideration two important risk factors, viz. (i) macroeconomic risk and (ii) concentration risk. First, the macroeconomic risk is carefully assessed through annual review of industry trends and the short and medium terms impacts are conducted with the Economics Department. Second, the concentration risk, which is relevant in case of corporate credit portfolio, is managed specific guidelines that focus on maintaining a diversified portfolio to avoid excessive concentration of risk which is implemented through customer and sector limit structures. On bi-annual basis or earlier if deemed necessary, Risk and business conduct alignment review sessions to continuously monitor portfolio and segment limits and concentrations. Further, all interrelated companies controlled by the same management and/or ownership structure are treated as one entity/group.

s. Structure and organization of the credit risk management and control function

Credit risk is managed through a Board approved framework of policies and procedures covering the approval, the measurement and the management of credit risk. All credit exposure limits are approved within a defined credit approval authority framework. The Bank manages its credit exposures following the principle of diversification across products, country limits, industries, client and customer segments, and through continuous assessment of the counterparties' creditworthiness.

Wholesale Credit – The Wholesale Credit Risk function primarily comprises of (i) undertaking independent reviews and approval of Wholesale credit proposals and (ii) developing and maintaining the Bank's credit policy. The Wholesale credit risk function, led by the Head of Wholesale Credit Risk Management (HWRMHWCER), includes senior credit officers based regionally with industry specializations Kingdom wide. These senior officers fulfill an essential role in the risk approval and control process given their expertise and independence from business line management. They objectively scrutinize and approve credit proposals within the limits set by the credit policy of the Bank. Approval of the Executive Committee and/or Board is required to extend facilities to the customer above certain risk-based thresholds.

Retail Credit - The Retail Risk function is led by the Head of Retail Risk Management, who with the support of a team of four Department Heads i.e. (i) Secured Credit Policy (Auto Lease, Residential Finance), (ii) Unsecured Credit Policy (Credit Cards, Personal Finance, and Business Banking), (iii) Quality and Governance and (iv) Portfolio and Strategy, are mandated to manage the entire credit lifecycle of the Retail Finance portfolio. Secured and Unsecured Credit Policies have an overall responsibility for establishing retail credit policies and ensuring that lending practices align with the Bank's strategic goals and regulatory requirements to enhance profitable portfolio growth. The department proactively designs policies to minimize potential risks while maintaining the Bank's competitive edge. Portfolio and Strategy leads the integration and optimization of risk management strategies across all retail lending portfolios, utilizing advanced analytics to enhance decision-making and portfolio performance. It focuses on developing risk analyses and monitoring frameworks for the credit initiation and collection stages, facilitating the tailored adjustment of credit policies, and providing strategic guidance to exceed financial targets in collections while insuring the portfolio is behaving within the approved risk appetite. The Quality and Governance department, aims to ensure the highest standards of quality and governance in retail risk processes, maintains compliance with all regulatory requirements and internal policies and strengthens the risk control functions by conducting periodic reviews to ensure the proper implementation of policies and compliance with approved programs lending risk acceptance criteria.

Relationships between the credit risk management, risk control, compliance and internal audit functions

The relationship is based on clear separation between the credit risk management, risk credit controls, compliance and internal audit. Each of the aforementioned functions has a well-defined mandate. This is to ensure full independence of each of these functions organizationally and functionally. However, all these functions operate in a coordinated manner to ensure that the Bank maintains the desired risk quality of the various credit portfolios.

Credit Risk Management, as mentioned above, is responsible for conducting credit assessments, and credit approval within the Bank's tolerance level, risk appetite and policy standard.

Credit Control is responsible for ensuring appropriate documentation for all facilities throughout the credit life cycle. Any deficiencies in the credit workflow and documentation are escalated to the appropriate business groups as part of quality assurance and process control. In addition, limits and collaterals are maintained and monitored by credit control to ensure no breaches of limits and adequate coverage of collaterals.

Compliance Group is responsible for implementing local regulatory and statutory requirements pertaining to credit risk and assisting the Board, the Audit Committee, Risk Committee and Senior Management in managing and controlling SNB's compliance risk.

Internal Audit Group, which reports directly to the Audit Committee is responsible for providing an independent, objective assurance and consulting service to the Audit Committee designed to improve SNB's

credit practices and operations. Internal Audit conducts a comprehensive and independent review of credit process at least on annual basis.

t. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the board of directors

The scope of credit risk management and its exposures includes SNB and its consolidated subsidiaries, which are as below.

- SNB and its branch in Bahrain, London, UAE and Singapore.
- SNB Capital and its consolidated subsidiaries
- Turkiye Finans, SNB's subsidiary in Turkey
- Samba Bank Limited (SPL), Pakistan

As mentioned earlier, the credit risk is managed through a set of policies and procedures covering the approval, the measurement and the management of credit risk. The Bank manages its credit exposures following the principles of diversification across products, country limits, industries, client and customer segments, and through continuous assessment of the counterparties' creditworthiness. Various reports intended to provide a comprehensive assessment of credit risk to the Board and senior management include the following:

- Quarterly Risk Reports – complete overview of bank's risk exposures presented to the Risk Committee of the Board at the Group, business groups and subsidiaries level.
- Credit Remedial Management Committee – detailed credit portfolio performance presented to senior management on monthly basis.
- Risk Appetite – monitoring key credit risk indicators, limits, and threshold on quarterly basis.

CR1 – Credit quality of assets

SAR '000		Gross carrying values of		Allowances/impairments	Of which ECL accounting provisions for credit losses on SA exposures		Of which ECL accounting provisions for credit losses on IRB exposures	Net values (a+b-c)
		Defaulted exposures	Non-defaulted exposures		Allocated in regulatory category of Specific	Allocated in regulatory category of General		
1	Loans*	7,692,328	654,513,474	10,405,223	6,724,644	3,680,579		651,800,579
2	Debt Securities		264,559,813	24,439		24,439		264,535,374
3	Off-balance sheet exposures	1,073,349	134,546,618	439,234	439,234	-		135,180,733
4	Total	8,765,677	1,053,619,905	10,868,896	7,163,878	3,705,018	-	1,051,516,686

* Note that these balances exclude Purchased or Originated Credit Impaired loans, the treatment of which is disclosed in note 3.27 of the published financial statements.

A default is considered to have occurred with regard to a particular obligor when either or both of the two following events have taken place:

1. The obligor is past due for 90 days or more on any material credit obligations to the Bank including principal instalments, interest payments and fees. The materiality threshold for recognition of default is 5% of the total outstanding credit obligations of the client.
2. The Bank considers that the obligor is unlikely to pay its credit obligations to the Bank in full, without recourse by the Bank to actions such as realizing security (if any).

CR2 – Changes in stock of defaulted loans and debt securities

SAR '000

1	Defaulted loans and debt securities at end of the previous reporting period	7,359,471
2	Loans and debt securities that have defaulted since the last reporting period	4,075,474
3	Returned to non-defaulted status	(279,095)
4	Amounts written off	(3,646,943)
5	Other changes	183,421
6	Defaulted loans and debt securities at end of the reporting period	7,692,328

CRB – Additional disclosure related to the credit quality of assets

- a. The scope and definitions of “past due” and “impaired” exposures used for accounting purposes and the differences, if any, between the definition of past due and default for accounting and regulatory purposes.

Definition of "Past due": When a payment obligation on a credit account is not fulfilled in a timely fashion, the account should be considered 'past due'.

In case of loan accounts where there is a clear date of payment, each day the account is past due should be counted until the obligation is met. The number of days that the obligor is past due at a given point in time should be referred to as 'days past due'.

Impaired: A loan is considered impaired when management determines that it is more probable that the Bank will not be able to collect all amounts due according to the original contractual terms or the equivalent value. Part c will further describe the methods used to determine impairments.

b. The extent of past-due exposures (more than 90 days) that are not considered to be impaired and the reasons for this.

The 90 days past due rule will generally apply unless the Bank has strong documentary evidence to support a different classification. Substantial scrutiny is required to ensure that such evidence is in place and fully documented.

c. Description of methods used for determining impairments.

A loan is considered to be impaired (non-performing) when management determines that it is more probable that the Bank will not be able to collect all amounts due according to the original contractual terms or the equivalent value. Objective evidence that a loan or account is impaired includes:

- Significant financial difficulties
- A material breach of contract, such as a default or delinquency in interest or principal payments beyond 90 days
- Change in credit classification to II (Substandard) or worse
- The Bank has no option but to grant the borrower concessions that it would not otherwise consider
- The Bank reaches a conclusion that the borrower is likely to enter bankruptcy or a similar financial reorganization
- The disappearance of an active market for a financial asset (e. g. Sukuk, bond) because of financial difficulties at the issuer level.

d. The Bank's own definition of a restructured exposure.

A restructuring applies to a single payment or multiple payment obligations being extended for more than 90 days beyond the maximum tenor approved for that facility.

A restructuring or forbearance occurs on transactional basis when:

- A counterparty is experiencing financial difficulties in meeting its financial commitments; and
- A bank grants a concession that it would not otherwise consider.

Quantitative disclosures: the required information is described in the below tables from section (e) to (h)

e. The following tables breakdown of On-Balance sheet, Off-Balance sheet and Derivatives exposures by geography, industry and maturity:

Geographic Breakdown (SAR '000)								
Portfolios	Geographic area							
	Saudi Arabia	Other GCC & Middle East	Europe	Turkey	North America	South East Asia	Other countries	Total
Sovereigns and central banks	229,069,358	6,938,604	459,993	10,726,383	18,041,233	3,277,288	1,599,180	270,112,039
Public Sector Entities	-	-	-	315,314	-	-	-	315,314
Multilateral Development banks (MDBs)	5	-	934,298	-	863,054	-	38,137	1,835,495
Banks	10,925,934	30,588,897	13,250,335	1,320,992	9,556,990	1,304,091	18,979,139	85,926,377
Covered Bonds	-	-	-	-	-	-	-	-
Subordinated debt, equity and other capital instruments	6,459,939	715,409	24,835	4,938	110,534	-	126,737	7,442,391
Retail Exposure	117,293,386	5,626	9,041	8,022,071	1,648	467	1,593	125,333,832
Corporates and Securities Firms & Other Financial institutions	258,128,373	33,968,830	424,117	14,807,443	4,134,267	2,015,712	4,849,515	318,328,257
Specialized Lending	26,762,997	5,945,179	-	910,361	-	-	-	33,618,537
Real Estate Exposure	195,640,730	90	609	1,020,490	36	-	4	196,661,959
Other Assets	24,421,803	-	11,936,649	1,975,208	-	-	1	38,333,660
Defaulted Exposures	3,452,818	-	10	61,225	-	-	1	3,514,054
Failed Transactions	-	-	-	-	-	-	-	-
Unsettled transactions	-	-	-	-	-	-	-	-
Equity Investment in Funds	1,569,578	111,569	1,597,882	234	20,524,500	103,359	4,249	23,911,372
Securitization	54,881	-	-	-	12,308,648	109,155	535,061	13,007,744
Total	873,779,799	78,274,204	28,637,769	39,164,660	65,540,909	6,810,073	26,133,618	1,118,341,032

Portfolios	Industry Sector Breakdown (SAR '000)										
	Government and Quasi Government	Banks and other FI	Manufacturing	Electricity, water gas and health services	Building and construction	Commerce	Transportation and communication	Services	Consumers	Others	Total
Sovereigns and central banks	259,671,139	6,162,310	-	-	-	-	-	4,278,590	-	-	270,112,039
Public Sector Entities	-	36,298	50,410	5,402	-	7,236	118	515	-	215,335	315,314
Multilateral Development banks (MDBs)	-	-	-	-	-	-	-	-	-	1,835,495	1,835,495
Banks	19,541,500	66,338,527	-	-	-	-	-	-	-	46,350	85,926,377
Covered Bonds	-	-	-	-	-	-	-	-	-	-	-
Subordinated debt, equity and other capital instruments	-	6,844,861	-	-	-	451,303	-	-	-	146,228	7,442,391
Retail Exposure	-	11,278	1,803,477	204,805	576,794	3,342,797	165,577	905,797	114,945,167	3,378,139	125,333,832
Corporates and Securities Firms & Other Financial institutions	6,719,473	4,292,174	49,092,711	43,013,310	41,608,357	66,913,159	32,204,177	23,602,675	-	50,882,220	318,328,257
Specialized Lending	-	-	2,205,515	22,448,341	548,691	5,828,712	2,450,237	137,040	-	-	33,618,537
Real Estate Exposure	-	223	231,613	681,372	254,158	12,254,126	21,477	1,088,088	182,127,001	3,900	196,661,959
Other Assets	-	13,373,222	8,384	48	3,766	13,491	16	468,618	-	24,466,115	38,333,660
Defaulted Exposures	98,667	2,617	531,277	593,831	166,843	753,416	398,122	249,685	-	719,598	3,514,054
Failed Transactions	-	-	-	-	-	-	-	-	-	-	-
Unsettled transactions	-	-	-	-	-	-	-	-	-	-	-
Equity Investment in Funds	-	23,911,372	-	-	-	-	-	-	-	-	23,911,372
Securitization	5,128,858	54,881	634,856	-	-	5,315,469	-	1,165,426	-	708,254	13,007,744
Total	291,159,637	121,027,763	54,558,244	66,947,110	43,158,609	94,879,709	35,239,725	31,896,434	297,072,168	82,401,634	1,118,341,032

Residual Maturity Breakdown (SAR *000)									
Portfolios	Maturity Breakdown								
	Less than 8 days	8-30 days	30-90 days	90-180 days	180-360 days	1-3 years	3-5 years	Over 5 years	Total
Sovereigns and central banks	6,218,482	35,437,790	764,206	2,842,141	3,733,991	48,058,844	22,486,039	150,570,546	270,112,039
Public Sector Entities	649	469	2,873	108,881	61,177	137,444	1,150	2,671	315,314
Multilateral Development banks (MDBs)	-	-	377,191	-	485,868	725,230	247,206	-	1,835,495
Banks	12,313,723	452,851	1,324,655	4,521,743	4,256,558	19,429,047	28,252,853	15,374,946	85,926,377
Covered Bonds	-	-	-	-	-	-	-	-	-
Subordinated debt, equity and other capital instruments	4,938	-	-	-	-	784,545	571,606	6,081,302	7,442,391
Retail Exposure	11,426,973	3,787,130	2,800,705	2,915,883	8,345,461	25,746,612	67,170,248	3,140,820	125,333,832
Corporates and Securities Firms & Other Financial institutions	84,853,218	25,845,419	48,528,225	33,507,328	47,478,267	21,010,248	11,865,237	45,240,315	318,328,257
Specialized Lending	812	5	237	4,545	4,120,586	175,381	183,582	29,133,389	33,618,537
Real Estate Exposure	43,830	21,270	53,644	74,699	134,404	858,056	2,172,154	193,303,902	196,661,959
Other Assets	1,644,834	33,261	237,068	82,575	160,135	2,021,935	1,297,815	32,856,037	38,333,660
Defaulted Exposures	3,419,452	-	-	-	94,602	-	-	-	3,514,054
Failed Transactions	-	-	-	-	-	-	-	-	-
Unsettled transactions	-	-	-	-	-	-	-	-	-
Equity Investment in Funds	-	-	-	-	2,008,561	-	-	21,902,811	23,911,372
Securitization	-	-	-	-	54,881	41,710	68,468	12,842,685	13,007,744
Total	119,926,911	65,578,196	54,088,804	44,057,795	70,934,492	118,989,053	134,316,357	510,449,423	1,118,341,032

f. Impaired Loans

Impaired Loans, Past Due Loans and Allowances (SAR '000)										
Industry sector	Impaired loans	Defaulted	Aging of Past Due Loans (days)				Specific allowances (Stage 3)			General allowances (Stage 1&2)
			Less than 90	90-180	180-360	Over 360	Charges during the period	Charge-offs during the period	Balance at the end of the period	
Government and quasi government	0	0	0	0	0	0	0	0	0	1,666
Banks and other financial institutions	41	37	4	8	10	19	18	3	31	22,076
Agriculture and fishing	2,243	2,204	23,434	1,982	0	222	600	816	406	3,808
Manufacturing	980,992	970,905	295,272	563,514	34,177	373,214	369,562	754,985	839,258	153,214
Mining and quarrying	6,466	410	11,363	123	5	281	0	14,421	368	21,270
Electricity, water, gas and health services	443,618	385,957	119,160	16,829	301,944	67,184	321,439	36,108	369,724	25,330
Building and construction	1,141,982	1,132,978	458,959	69,476	821,346	242,157	905,151	335,071	1,079,733	428,199
Commerce	2,497,245	2,570,532	4,988,776	382,082	262,333	1,926,117	1,218,212	1,081,369	2,566,295	1,354,042
Transportation and communication	94,093	93,613	103,199	79,309	9,651	4,654	40,450	17,635	43,676	40,867
Services	462,297	330,027	546,949	147,253	115,674	67,100	174,370	79,362	252,770	301,555
Consumer loans and credit cards	2,353,263	2,203,609	5,132,984	1,195,121	571,994	436,494	2,123,252	1,327,174	1,563,069	1,334,216
Others	2,230	2,055	175	432	916	707	0	0	1,517	2,137
Total	7,984,471	7,692,328	11,680,275	2,456,128	2,118,051	3,118,150	5,153,054	3,646,943	6,716,846	3,688,378

Impaired Loans, Past Due Loans and Allowances (SAR '000)							
Geographic area	Impaired loans	Aging of Past Due Loans (days)				Specific allowances (Stage 3)	General allowances (Stage 1 and 2)
		Less than 90	90-180	180-360	Over 360		
Saudi Arabia	7,574,961	11,464,106	2,642,737	2,085,383	2,770,867	6,583,702	3,484,800
Other GCC & Middle East	0	0	0	0	0	0	22,515
Turkey	409,510	216,169	43,109	32,668	117,564	133,144	174,571
Others countries	0	0	0	0	0	0	6,492
Total	7,984,471	11,680,275	2,685,846	2,118,051	2,888,431	6,716,846	3,688,378

g. Aging analysis of accounting past-due exposures

Ageing analysis of accounting past-due exposures (SAR '000)				
Portfolios	Less than 30 days	30-59 days	60-89 days	Total
Consumer loans and credit cards	3,773,823	1,151,784	323,943	5,249,550
Corporate	1,950,967	2,200,800	2,062,789	6,214,556
Others	24,187	78,145	678,016	780,348
Total	5,748,977	3,430,729	3,064,748	12,244,454

h. Breakdown of restructured exposures between impaired and not impaired exposures

Breakdown of restructured exposures between impaired and not impaired exposures (SAR '000)		
Restructured exposures	Impaired	Not Impaired
9,303,327	100,301	9,203,026

CRB-A – Additional disclosure related to prudential treatment of problem assets

The definition of non-performing exposure is as per rules on Management of Problem Loans and related Guidelines Prudential treatment of problem assets – definitions of non-performing exposures and forbearance.

The following are considered non-performing exposures:

- All exposures that are “defaulted” under Basel framework (unlikely to pay, 90 days past due) as per the Definition of Default below.
- All exposures that are credit-impaired (partial write-off)
- All other exposures that are not defaulted or impaired but material exposure are more than 90 days and/or have evidence that full repayment is unlikely without the bank’s realization of collateral.

Non-performing exposures will be applied to on-balance sheet loans, debt securities and other amounts due (e.g. interest and fees). It also applies to off-balance sheet items (e.g. loan commitments and financial

guarantees). Exposures that a bank includes in its trading book or that are treated as derivative are not within the scope of the definition.

Level of application

When a material exposure to a counterparty (natural or legal) is categorized as non-performing, all exposures to that counterparty is considered as non-performing.

When a counterparty belongs to a group, designating an exposure to one entity belonging to a group as non-performing does not mandatorily lead to designating all exposures to other entities from the same group as such. However, designating the exposure to one of the group entities as non-performing should be one of the inputs, along with the respective financial situation of other entities from the same group, when assessing the creditworthiness and determining the performing or non-performing status of exposure to the other entities in the group.

Collateralization or received guarantees should have no direct influence on the categorization of an exposure as non-performing. However, the bank may consider the collateral amount when assessing borrower's economic incentive to repay under the unlikelihood to repay criteria.

Any recourse by the bank shall not be considered in this judgment.

Definition of default:

A default is considered to have occurred with regard to a particular obligor when either or both of the two following events have taken place:

1. The obligor is past due for more than 90 days on any material credit obligations to the banking group. Overdraft will be considered as being past due once the customer has breached an advised limit. Day count starts on first business day payments are overdue or the Overdraft limit is exceeded. The materiality threshold for recognition of default is 5% of the total outstanding credit obligations of the client.
2. The bank considers that the obligor is unlikely to pay its credit obligations to the banking group in full, without recourse by the bank to actions such as realizing security (if any).

The elements to be taken as indications of unlikelihood to pay include:

- a) The bank puts the credit obligation on non-accrued status.
- b) The bank makes a charge-off or account-specific provision resulting from a significant perceived decline in credit quality.
- c) The bank consents to distressed restructuring of the credit obligation where this is likely to result in a diminished financial obligation caused by the material forgiveness or postponement of principal, interest or (where relevant) fees.
- d) The bank has filed for the obligor's bankruptcy or a similar order in respect of the obligor's credit obligation to the bank.
- e) The obligor has sought or has been placed in bankruptcy where this would avoid or delay repayment of the credit obligation to the Bank.

In cases where Non-Performing Loans (NPL) in particular are restructured (Forborne), such loans should not be upwardly re-categorized/reclassified merely because of the existence of a restructuring agreement. Upward reclassification should only be made if and when there is sufficient evidence of adherence to the payment terms of the restructuring agreement. This evidence would include the establishment of a history for at least

12 months of timely repayments of both principal and commissions/interest under the restructuring agreement or the counterparty has resolved its financial difficulty.

(C) Breakdown of gross carrying value by performing and non-performing exposures

	Gross Carrying Value SR 000				Value adjustments and provisions
	Performing	Non-Performing			
		Defaulted exposures	Exposures that are not defaulted/impaired exposures but are more than 90 days past due	Other exposures where there is evidence that full repayment is unlikely without the bank’s realization of collateral	
Debt Securities	264,559,813	-	-	-	24,439
Loans	654,513,474	7,692,328	-	-	10,405,223
Of which Retail:	344,399,127	2,202,576	-	-	3,016,127
Of which Corporate:	289,485,534	5,066,692	-	-	6,951,470
Off Balance sheet	134,546,618	1,073,349	-	-	439,234
Total	1,053,619,905	8,765,677	-	-	10,868,896

(d) Gross carrying value breakdown of restructured/forborne exposures

	Performing	Non-Performing	Value adjustment and provisions
Debt Securities		-	
Loans	9,064,603	96,120	307,433
of which Retail	6,385,679	96,120	125,222
of which secured by Real Estate	6,110,379	86,670	107,136
of which revolving exposures	87,139	1,747	3,462
of which SME	188,161	4,202	14,624
of which Other Retail	-	-	-
of which Corporate	2,119,223	3,500	47,561
Off Balance Sheet	138,422	4,181	3,269
Total	9,203,026	100,301	310,702

CRC – Qualitative disclosure requirements related to credit risk mitigation techniques

a. Core features of policies and processes for, and an indication of the extent to which the bank makes use of, on- and off-balance sheet netting.

SNB does not make use of on- and off-balance sheet netting for capital adequacy or financial position purposes.

b. Core features of policies and processes for collateral evaluation and management.

The credit policy manual of the Bank defines collaterals to include tangible and physical securities, which are easily identifiable and where the title / ownership can change without difficulty. This can be further divided into two categories: Liquid Collateral (i.e., can be readily converted to cash) and Illiquid Collateral (where realization of security may take some time due to underlying processes).

SNB accepts the following types of collaterals:

Liquid Collateral:

Cash Margin, Time Deposits, collection accounts, Investment Portfolios, Government Securities / bonds / Sukuk, publicly traded shares, and Unconditional and Irrevocable Bank Guarantees.

Illiquid Collateral:

Land and Commercial Real Estate, Plant, Machinery and Equipment, and Precious Metals.

Illiquid collateral must be evaluated by two independent professional firms approved for this purpose by SNB and the value of security must be its fair market value. The evaluation should be conducted frequently on the whole portfolio and on a case by case basis as per the credit policy.

The acceptance of any collateral by SNB is undertaken with prescribed coverage. The coverage ratio considers haircuts that represent potential declines in the value of the collateral asset due to market price fluctuation and liquidity. Collaterals are being revalued frequently to ensure adherence to the required coverage ratio.

All collaterals are held under Credit Control Department (CCD) custody to ensure full independence organizationally and functionally. CCD is responsible for communicating to the business any document deficiency and identifying all collaterals that need to be revaluated. In cases where SNB accepts collateral as fixed assets such as buildings, warehouses and contents, plant, machinery and equipment, the customer is required to provide insurances, where SNB must be named as Loss Payee in the insurance policy. Where the same collateral is shared by other banks, SNB must be mentioned as a Loss Payee on a shared, pari passu basis with the other banks.

CR3 – Credit risk mitigation techniques – overview

		Exposures unsecured: carrying amount	Exposures to be secured	Exposures to be secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
1	Loans	588,573,875	63,226,704	47,973,247	15,253,457	
2	Debt securities	264,535,374	2,082,951		2,082,951	
3	Total	853,109,249		47,973,247	17,336,408	
4	Of which defaulted	7,692,328				

CRD – Qualitative disclosures on banks' use of external credit ratings under the standardized approach for credit risk

a. Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs) used by the bank, and the reasons for any changes over the reporting period;

The Bank uses the following External Credit Assessment Institutions (ECAIs).

- Standards and Poor's Rating Group
- Moody's Investor Service
- Fitch Group

b. The asset classes for which each ECAI or ECA is used;

External Credit Assessment Institutions risk assessments are used by the Bank as part of the determination of risk weightings for the following classes of exposure.

- Sovereign and Central Banks;
- Banks and Securities Firms; and
- Corporates Securitized assets

- c. A description of the process used to transfer the issuer to issue credit ratings onto comparable assets in the banking book (see paragraphs 99–101 of the Basel framework); and

The credit rating is based on the issue-specific (security) which is assessed by using the second lowest ratings of the three agencies (S&P, Moody's and Fitch).

- d. The alignment of the alphanumerical scale of each agency used with risk buckets (except where the relevant supervisor publishes a standard mapping with which the bank has to comply).

The alignment of the alphanumerical scale of major agencies used with risk buckets is based on the guidance issued by SAMA. Risk weights are determined by relevant tables in Basel framework. These tables use Standards and Poor's as a standard benchmark. The following table provides the alignment SNB uses for the remaining used ECAIs ratings to the Standards and Poor's alphanumerical scale.

Fitch	Standards and Poor's	Moody's
AAA	AAA	Aaa
AA+	AA+	Aa1
AA	AA	Aa2
AA-	AA-	Aa3
A+	A+	A1
A	A	A2
A-	A-	A3
BBB+	BBB+	Baa1
BBB	BBB	Baa2
BBB-	BBB-	Baa3
BB+	BB+	Ba1
BB	BB	Ba2
BB-	BB-	Ba3
B+	B+	B1
B	B	B2
B-	B-	B3
CCC+	CCC+	Caa1
CCC	CCC	Caa2
CCC-	CCC-	Caa3
CC	CC	Ca
C	C	C
D	D	WR
NR	NR	NR

CR4 – Standardized approach – credit risk exposure and Credit Risk Mitigation (CRM) effects

SAR '000	Exposures before CCF & CRM		Exposures post-CCF & CRM		RWA and RWA density	
Asset classes	On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA density
Sovereigns and their central banks	256,791,560	69,318	269,714,408	27,727	13,171,277	5%
Non-central government public sector entities	310,649	10,617	310,649	4,666	156,856	50%
Multilateral development banks	1,601,932	-	1,835,490	-	266,544	15%
Banks	61,796,397	27,893,161	61,371,766	19,630,137	32,758,902	40%
Of which: securities firms and other financial institutions	-	-	-	-	-	-
Covered bonds	-	-	-	-	-	-
Corporates	304,951,578	195,456,960	265,643,488	79,067,963	320,054,158	93%
Of which: securities firms and other financial institutions	-	-	-	-	-	-
Of which: specialized lending	29,419,474	10,409,775	29,419,474	4,199,063	38,841,597	116%
Subordinated debt, equity and other capital	13,804,393	-	7,442,391	-	11,534,678	155%
Retail	136,838,757	13,911,390	123,058,380	2,275,452	94,132,590	75%
MSMEs	6,183,252	2,496,850	5,195,540	935,978	4,598,638	75%
Real estate	196,661,959	-	196,661,959	-	92,568,897	47%
Of which: general RRE	182,291,739	-	182,291,739	-	73,696,837	40%
Of which: IPRRE	35,384	-	35,384	-	26,538	75%
Of which: general CRE	177,473	-	177,473	-	131,259	74%
Of which: IPCRE	6,304,452	-	6,304,452	-	6,934,897	110%
Of which: land acquisition, development and construction	7,852,910	-	7,852,910	-	11,779,366	150%
Defaulted exposures	10,144,096	946,021	3,419,452	94,602	2,580,608	73%
Other assets	26,323,837	-	26,323,837	-	19,615,046	75%
Total	1,009,225,158	238,287,466	955,781,820	101,100,547	586,839,556	56%

CR5 – Standardized approach – exposures by asset classes and risk weights

	Asset class	0%	10%	15%	20%	25%	30%	35%	40%	45%	50%	60%	65%	70%	75%	80%	85%	90%	100%	105%	110%	130%	150%	250%*	400%**	1250%	Other	Total credit exposure amount (post-CCF and post-CRM)
1	Sovereigns and their central banks	240,156,053			18,235,002						3,768,868								7,466,950				115,261					269,742,136
2	Non-central government public sector entities				234						313,619																1,461	315,314
3	Multilateral development banks	934,298			38,137		863,054																					1,835,490
4	Banks				10,353,704		49,476,559		600		12,772,821				10,104				6,262,413				2,125,701					81,001,903
	Of which: securities firms and other financial institutions																											
5	Covered bonds																											
6	Corporates				7,077,442						33,379,907				12,286,206	372,787	33,320,229		239,533,874			17,658,728	1,082,278					344,711,451
	Of which: securities firms and other financial institutions																											
	Of which: specialised lending															372,787		15,587,021			17,658,728							33,618,537
7	Subordinated debt, equity and other capital																	3,355				6,715,136		238,971		484,929		7,442,391
8	Retail									1,255,698					122,089,214				1,895,355								93,565	125,333,832
	MSMEs														6,131,518							6,304,452	7,852,910			2,223		6,131,518
9	Real estate				114,275,418	132,330	199,127		18,545	9,991	13,768	121,882														2,223		196,661,959
	Of which: general RRE				114,275,418	132,330	199,127		18,545	9,991	13,768	6,348			135,294,894											2,223		249,952,643
	Of which: no loan splitting applied				452,953	132,330	199,127		18,545	9,991	13,768	6,348			43,854											2,223		1,332,092
	Of which: loan splitting applied (secured)				113,822,465										67,625,520													249,073,505
	Of which: loan splitting applied (unsecured)																											
	Of which: IPRRE																											
	Of which: general CRE											115,534						61,939										177,473
	Of which: no loan splitting applied											115,534						61,939										177,473
	Of which: loan splitting applied (secured)																											
	Of which: loan splitting applied (unsecured)																											
	Of which: IPCRE																				6,304,452							6,304,452
	Of which: land acquisition, development and construction																						7,852,910					7,852,910
10	Defaulted exposures										2,289,920								801,108				423,027					3,514,054
11	Other assets	6,708,791																	19,615,046									26,323,837
12	Total	247,799,143			378,530,774	396,989	50,936,994		56,235	1,285,672	52,566,438	365,645			411,150,685	745,575	33,320,229		291,289,001			12,608,904	35,317,455	26,167,224		238,971	586,623	1,611,502,969

*Applied with phase-in arrangement for listed equities

*Applied with phase-in arrangement for unlisted equities

Exposure amounts and CCFs applied to off-balance sheet exposures, categorized based on risk bucket of converted exposures

	Risk weight	<i>a</i> On-balance sheet exposure	<i>b</i> Off-balance sheet exposure (pre-CCF)	<i>c</i> Weighted average CCF*	<i>d</i> Exposure (post-CCF and post-CRM)
1	Less than 40 %	433,535,283	22,915,250	73%	432,168,255
2	40–70%	54,241,528	16,554,768	31%	49,342,525
3	75 %	202,240,478	13,496,085	26%	198,862,279
4	85 %	42,359,013	668,299	55%	32,962,392
5	90–100%	231,222,338	173,312,936	42%	212,515,465
6	105–130%	19,958,967	10,243,671	40%	19,958,967
7	150 %	19,025,261	1,022,786	12%	18,188,780
8	250 %	31,403	-	0%	-
9	400 %	-	-	0%	31,403
10	1250 %	-	-	0%	-
11	Total exposures	1,002,614,272	238,213,794		964,030,066
* Weighting is based on off-balance sheet exposure (pre-CCF).					

Part 9 – Counterparty Credit Risk

The counterparty credit risk section includes all exposures in the banking book and trading book that are subject to a counterparty credit risk charge, including the CVA capital charges and charges applied to exposures to central counterparties (CCPs)

CCRA – Qualitative disclosure related to counterparty credit risk

a. Risk management objectives and policies related to counterparty credit risk, including:

Most of the SNB's derivative trading activities relate to sales, positioning and arbitrage. Sales activities involve offering products to customers and banks in order, inter alia, to enable them to transfer, modify or reduce current and future risks. Positioning involves managing market risk positions with the expectation of profiting from favorable movements in prices, rates or indices. Arbitrage involves profiting from price differentials between markets or products.

The bank's policies enforce that any transactions in derivatives must take place within the context of a signed of International Swaps and Derivatives Association (ISDA), Credit Support Annex (CSA) and/or Global Master Repurchase Agreement (GMRA) with its respective financial institution counterparties. Each product may have its specific confirmation and term sheet. Operations Governance within Wholesale Strategy is responsible for negotiating these legal contracts in collaboration with Legal and Shariah (if it is Shariah compliant version). As for SNB Corporate customers, they sign a Customer Treasury Agreement only CTA and/or approved agreements for Sharia compliant hedging transactions.

The bank has an established end to end process for executing Treasury transactions. Global Markets dealers conclude transactions with approved counterparties (i.e. having signed CTA or ISDA). Upon deal conclusion front office dealers capture deals in the Treasury system and provide all documents (confirmation, term sheet etc.) to Treasury operations. Based on the documentation Treasury operations thoroughly check the trade details and validate the deal. After validation by Treasury operations the system automatically generates the contingent entries and post in core banking system. Treasury operations make sure all documents are in place and duly signed by the customer. On settlement date the system generates payment messages that is checked, validated then released by Treasury operations.

Pre-settlement Exposure (PSE) or Pre-settlement Risk (PSR) is an estimate of how much counterparty in Foreign Exchange and Derivative trading transaction might owe over the life of a transaction (or Portfolio of transactions). PSR is a function of positive Mark to Market (MTM) and the Potential Future Exposure, PFE stands for the Maximal Potential Future Exposure over the remaining life of the deal taking into account a predefined confidence interval, volatility of underlying asset, and duration of the transaction. It is determined using the maximal potential future exposure (PFE) at predefined confidence. This estimation factors in the remaining life of the deal, considering market conditions, the volatility of the underlying asset, and the correlation between assets. PSE PSR is incurred from a wide set of transactions, from cash trades that settle in a few days, to Forward transactions that settle in a few months to multi-year swaps with periodic cash flows. The Quantification of PSE PSR may be impacted by the presence of netting, margining, re-couponing and early termination agreements. PSE PSR limit must be established for counterparties with which the bank has trading relationships.

b. The method used to assign the operating limits defined in terms of internal capital for counterparty credit exposures and for CCP exposures;

Credit limits are assigned to Financial Institutions according to the following:

- Country risk assessment and approved country limit guidelines by ALCO.
- Financial Institutions credit risk assessment (qualitative & quantitative) for identifying key risks and assigning mitigants accordingly.
- Target Market & Risk Acceptance Criteria for Financial Institutions. This includes tiering guidelines according to SNB Bank policies based on total assets size, tangible net worth, capital adequacy, and assigned risk rating and hence to provide total facilities and products permitted.
- Business needs according to the counterparty's requirements.
- Country limits.
- SAMA regulations.

The country limit guidelines are driven by a model created based on country risk assessment, taking into account multiple macro-economic indicators such as total external debt, debt coverage ratio, import cover, current account deficit and foreign reserve, etc. Political/Neighborhood risks through judgmental discretion, country ratings and size of the country as measured by its GDP. The model caps the country limit to Benchmark (as a % of SNB's Eligible Capital) to control concentration risks.

Setting the risk indicators score is calculated as follows:

Each indicator has a different category that weights certain extent of risk (Low-Med-High). Those selected indicators will validate the quantum of risk being taken in each country covering three main segments (Economic, Political and Currency).

Then in each category, scoring ranges were assigned.

The indicators data will be updated using the latest EIU numbers, then the model will score the data automatically by ascribing points to each risk, therefore each country will have total points and limits will be reflected accordingly.

c. Policies relating to guarantees and other risk mitigants and assessments concerning counterparty risk, including exposures towards CCPs;

SNB uses a master netting agreement that follows the rules of ISDA and CSA in its dealings with FI counterparties. Based on CSA agreement, only cash and bonds are accepted as a collateral for Initial and Variation margin calls.

SNB receives / sends margin call on a daily basis for variations in derivatives market value and once the amount is agreed upon with the counterparties, payment instruction will be sent to operations for processing. Variation margins are always compared against the trades' market value before confirmation. SNB may dispute or partially agree on the margin call received from the counterparties if significantly inconsistent with the trade's market value.

d. Policies with respect to wrong-way risk exposures;

Specific wrong-way risk arises, if future exposure to a specific counterparty is expected to be high when the counterparty's probability of default is also high. The Bank's Global Market & Treasury Products Approval Committee (GMTPAC) approves all new products. As part of its approval process the GMTPAC, among others, ensures that any new treasury product will not result in specific wrong-way risk.

e. The impact in terms of the amount of collateral that the bank would be required to provide given a credit rating downgrade.

Existing derivatives contracts in which SNB is engaged in do not have provisions for posting additional collaterals in case of a credit rating downgrade.

CCR1 – Analysis of counterparty credit risk (CCR) exposure by approach

SAR '000		Replacement cost	Potential future exposure	Effective EPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	SA-CCR (for derivatives)	3,740,260	5,252,674		1.4	12,590,108	8,622,675
2	Internal Model Method (for derivatives and SFTs)						
3	Simple Approach for credit risk mitigation (for SFTs)						
4	Comprehensive Approach for credit risk mitigation (for SFTs)						
5	Value-at-risk (VaR) for SFTs						
6	Total						8,622,675

CCR3 – Standardized approach of CCR exposures by regulatory portfolio and risk weights

SAR '000

Regulatory portfolio*/ Risk weight**	0%	10%	20%	50%	75%	100%	150%	Others	Total credit exposure
Sovereigns			369,904	-		-	-		369,904
Non-central government public sector entities	-		-	-		-	-		-
Multilateral development banks	-		-	-		-	-	5	5
Banks	-		2,500,996	456,136	-	720	-	1,966,621	4,924,474
Securities firms									-
Corporates			-	46,970	112,053	7,075,145	1,175	-	7,235,342
Regulatory retail portfolios									-
Other assets								12,009,823	12,009,823
Total	-	-	2,870,900	503,106	112,053	7,075,865	1,175	13,976,449	24,539,548

*The breakdown by risk weight and regulatory portfolio included in the template is for illustrative purposes. Banks may complete the template with the breakdown of asset classes according to the local implementation of the Basel framework.

**Banks subject to the simplified standardized approach should indicate risk weights determined by the supervisory authority in the columns.

CCR5 – Composition of collateral for CCR exposure

SAR '000	Collateral used in derivative transactions				Collateral used in SFTs	
	Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
	Segregated	Unsegregated	Segregated	Unsegregated		
Cash – domestic currency	292,450	-	446,630			
Cash – other currencies	919,333	-	1,457,544			
Domestic sovereign debt	-	-	850,000			
Other sovereign debt	-	-	-			
Government agency debt	-	-	-			
Corporate bonds	-	-	74,174			
Equity securities	-	-	-			
Other collateral	-	-	-			
Total	1,211,783	-	2,828,348			

CCR6 – Credit derivatives exposures

	Protection bought	Protection sold
Notionals		
Single-name credit default swaps	18,750	18,750
Index credit default swaps		
Total return swaps		
Credit options		
Other credit derivatives		
Total nationals	18,750	18,750
Fair values		
Positive fair value (asset)	899	1798
Negative fair value (liability)	(1,981)	(660)

CCR8 – Exposure to central counterparties

SAR '000

	EAD (Post – CRM)	RWA
Exposures to QCCPs (total)		
Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	11,949,440	238,989
(i) OTC derivatives	11,949,440	238,989
(ii) Exchange-traded derivatives		
(iii) Securities financing transactions		
(iv) Netting sets where cross-product netting has been approved		
Segregated initial margin		
Non-segregated initial margin		
Pre-funded default fund contributions		
Unfunded default fund contributions		
Exposures to non-QCCPs (total)		
Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which	12,590,108	8,622,675
(i) OTC derivatives	12,590,108	8,622,675
(ii) Exchange-traded derivatives		
(iii) Securities financing transactions		
(iv) Netting sets where cross-product netting has been approved		
Segregated initial margin		
Non-segregated initial margin		
Pre-funded default fund contributions		
Unfunded default fund contributions		

Part 10 – Securitization

SECA – Qualitative disclosure requirements related to securitization exposures

The Bank does not have any securitization activities which transfer credit risk away from the Bank to other entities. However, the bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI) and Investment at Amortized Cost (IAC) books.

Instrument	Instrument Definition	Rational for Investing	Status
US Agency MBS	Mortgage-backed securities issued by a government-owned corporation or a government-sponsored enterprise under the conservatorship of the Federal Housing Finance Agency (FHFA).	The investments allow SNB to gain exposure to a liquid asset class with favorable regulatory ratios, whilst providing incremental yield pick-up to government issues. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI) and Investment at Amortized Cost (IAC) books.
US Government Guaranteed Student Loans (FFELPs)	Student Loan backed securities with a 97% guarantee by the US Department of Education.	The investments allow SNB to gain exposure to a liquid asset class with favorable regulatory ratios, whilst providing diversification and incremental yield pick-up to government issues. They also help reduce the bank's overall interest rate risk due to their floating nature.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI).
US CLO (AAA, AA)	A senior tranche investment within Collateralized Loan Obligations is an investment in a AAA/AA rated security backed by a diversified pool of loans rated below investment grade. This is achieved through the securitization of this pool of assets, with the senior tranches having the first priority of payment within the capital structure.	The investments allow SNB to invest in high rated asset, whilst providing incremental yield pick-up. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities. They also help reduce the bank's overall interest rate risk due to their floating nature.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI) and Investment at Amortized Cost (IAC) books.
US CMBS AAA	CMBS are investment products that are backed by mortgages on commercial properties. CMBS structures are typically sequential pay, meaning any loan principal and scheduled interest payments received are allocated to tranches in order of seniority. A typical structure would have a senior tranche rated AAA, which carries the highest level of credit enhancement.	The investments allow SNB to invest in high rated asset, whilst providing incremental yield pick-up. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI).
US RMBS AAA	Residential Mortgage-Backed Securities (RMBS) are financial instruments that represent claims on the cash flows generated from residential mortgages. RMBS are structured into different tranches, which vary in risk and return based on the seniority of the claims on the underlying mortgages payments.	The investments allow SNB to invest in high rated asset, whilst providing incremental yield pick-up. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI).

SEC1 – Securitization exposures in the banking book

SAR '000		Bank acts as originator				Bank acts as sponsor				Banks acts as investor			
		Traditional	Of which STC	Synthetic	Sub- total	Traditional	Of which STC	Synthetic	Sub- total	Traditional	Of which STC	Synthetic	Sub-total
1	Retail (total) – of which									5,719,472			5,719,472
2	residential mortgage									5,661,984			5,661,984
3	credit card												
4	other retail exposures									57,488			57,488
5	re-securitization												
6	Wholesale (total) – of which									7,288,272			7,288,272
7	loans to corporates									5,425,746			5,425,746
8	commercial mortgage									1,862,526			1,862,526
9	lease and receivables												
10	other wholesale												
11	re-securitization												

SEC4 – Securitization exposures in the banking book and associated capital requirements – bank acting as investor

		Exposure values (by RW bands)					Exposure values (by regulatory approach)				RWA (by regulatory approach)				Capital charge after cap			
		≤20%	>20% to 50%	>50% to 100%	>100% to <1250 %	1250 %	SEC-IRB A	SEC-ERBA - IAA	SEC-SA	1250%	SEC-IRBA	SEC-ERBA - IAA	SEC-SA	1250 %	SEC-IRBA	SEC-ERBA - IAA	SEC-SA	1250%
1	Total exposures	12,624,801	93,086	114,079	175,777			13,007,744				2,818,223				225,458		
2	Traditional securitization	12,624,801	93,086	114,079	175,777			13,007,744				2,818,223				225,458		
3	Of which securitization	12,624,801	93,086	114,079	175,777			13,007,744				2,818,223				225,458		
4	Of which retail underlying	5,661,984						5,661,984				1,132,397				90,592		
5	Of which STC	24,238			33,250			57,488				49,423				3,954		
6	Of which wholesale	6,938,579	93,086	114,079	142,527			7,288,272				1,636,403				130,912		
7	Of which STC																	
8	Of which re-securitization																	
9	Synthetic securitization																	
10	Of which securitization																	
11	Of which retail underlying																	
12	Of which wholesale																	
13	Of which re-securitization																	

Part 11 – Market Risk

The market risk section includes the market risk capital requirements calculated for trading book and banking book exposures that are subject to a market risk charge. However, it excludes the counterparty credit risk capital charges that apply to the same exposures, which are reported in Part 9 – Counterparty credit risk.

MRA – Qualitative disclosure requirements related to market risk

a. Strategies and processes of the bank

The focus of Market Risk unit (part of Treasury Risk Division) is to control risk taking activities in a manner that optimizes rewards and capital consumption. Market risk measures the potential loss in value of financial instruments or the Bank's off-balance sheet positions arising from adverse movements in market variables such as commission or other profit rates, foreign exchange rates, equity and commodity positions.

These measures are monitored and controlled to ensure that the risk-taking activity is within the desired bank's risk appetite/limits and risk-return targets as defined by the Board of Directors. The bank has in place a comprehensive process for setting the risk appetite:

- Limits are set through a rigorous process whereby the limits proposal is discussed between the Treasury and the Risk Group taking into consideration factors such as risk level of individual investments, risk appetite of the Bank, market conditions, potential impact of correlation and stress scenarios etc. The limits package is circulated to the Assets and Liabilities Committee (ALCO) for concurrence, and then to the Risk Committee/Board for approval.
- Treasury Risk independently checks and monitors adherence to the set limits. This ensures controls are in place and breaches are escalated as applicable.
- Investments are only permissible in approved asset classes as agreed by the Board in the annual limits package.
- Group Treasury & Global Markets are allowed to deal (whether with client or for trading purposes) only in approved products. Product approvals are obtained through the Global Markets Treasury Product Approval Committee in alliance with the Bank's major stakeholders to ensure risk, accounting, operations and compliance aspects are covered.
- reporting to ALCO and the Board/Risk Committee ensures Senior Management oversight, in order to allow the Hedge Accounting for the hedged items and the hedging derivatives, the International Financial Reporting Standards (IFRS) have prescribed that the effectiveness of a hedge, a task that is carried out by Treasury Middle Office (part of Treasury Risk Division)

Structure and organization of the market risk management function

The Risk Group is responsible for the development of detailed risk management policies (subject to review and approval by the Board of Directors) and for the day-to-day review of their implementation. The Head of Market Risk is appointed by Head of Treasury Risk, who is appointed by the Chief Risk Officer. The Head of Treasury Risk have senior responsibility for the oversight of the Trading and Investment portfolios of the Bank and their activities.

SNB's Treasury Risk division independently monitors market risks in line with market risk management policy, which defines the market risk management framework that includes various limits which SNB should maintain for its investment and trading portfolios. The policy outlines the governance of risk methodologies, measurement techniques and controls for market risk. Moreover, the treasury & investment limits outline the guidelines for managing the Bank's trading and banking book investments. The main objective is to ensure that there are adequate controls and that procedures are followed with regards to all products that the Treasury is or may be engaging in.

Scope and nature of risk reporting and/or measurement systems.

The market risk policy targets managing the composition and magnitude of existing and potential market risk exposures. The Bank separates its exposure to market risk between trading and banking books. Trading book

is mainly held by the Group Treasury & Global Markets and includes positions arising from market making and proprietary positions. The primary categories of market risk managed by the Bank are as below:

Risk Item	Description
Interest rate risk	Changes in yield curves and implied volatilities on interest rate options
Currency Exchange risk	Exchange rate movements and implied volatilities on foreign exchange options
Commodity price risk	Commodity prices variation and commodity option implied volatilities. This covers energy, precious metals, base metals, and agriculture
Equity price risk	Equity price volatility, equity indices, equity baskets and implied volatilities on related options
Investment Risk	Changes in market value of the investment portfolio resulting from volatility in interest rates, equity prices and credit spreads.

Treasury Risk aims to accurately measure all types of market risks by a comprehensive set of risk metrics reflecting economic and regulatory requirements.

In accordance with economic and regulatory requirements, SNB uses the Value at Risk (VaR) as a principal tool to measure and control market risk exposure within the SNB trading book. The overall structure of VaR limits is subject to review and approval by the Board of Directors. VaR limits are allocated to trading book. The daily reports of utilization of VaR limits are submitted to the senior management of the Group. In addition, regular summaries about various risk measures including the Economic Capital are submitted to the Risk Committee of the Board.

The VaR methodology is supplemented with other position and sensitivity limit structures. The risk adjusted return, balance sheet position, liquidity and capital position of the Bank are taken into consideration when setting market risk limits. Various notional and concentration limits are set to manage exposures in the investment book and are monitored vis-à-vis Board approved limits.

MR1 – Market risk under standardized approach

SAR ‘000

		Capital requirement in standardised approach
1	General interest rate risk	342,303
2	Equity risk	1,527,989
3	Commodity risk	1,984
4	Foreign exchange risk	401,220
5	Credit spread risk – non-securitizations	79,952
6	Credit spread risk – securitizations (non-correlation trading portfolio)	
7	Credit spread risk – securitization (correlation trading portfolio)	
8	Default risk – non-securitizations	20,704
9	Default risk – securitizations (non-correlation trading portfolio)	
10	Default risk – securitizations (correlation trading portfolio)	
11	Residual risk add-on	41,541
12	Total	2,415,694

CVAA: General qualitative disclosure requirements related to CVA

Credit Valuation Adjustment (CVA) is an adjustment to the mid-market valuation of the portfolio of trades with a counterparty. This adjustment reflects the market value of the credit risk due to any failure to perform on contractual agreements with a counterparty. This adjustment may reflect the market value of the credit risk of the counterparty or the market value of the credit risk of both the bank and the counterparty. Two approaches are available for calculating CVA capital: the standardized approach (SA-CVA) and the basic approach (BA-CVA). SNB's adopted approach for calculating the capital requirements is the basic approach (BA-CVA). The capital requirements are not set to 100% of the counterparty credit risk capital requirements.

CVA1: The reduced basic approach for CVA (BA-CVA)

SAR ‘000		Components	BA-CVA RWA
1	Aggregation of systematic components of CVA risk	1,524,196,121,169,680	
2	Aggregation of idiosyncratic components of CVA risk	265,389,099,870,095	
3	Total		10,665,863

CVA4: RWA flow statements of CVA risk exposures under SA-CVA

SAR ‘000		Amount
1	Total RWA for CVA at previous quarter-end	14,097,933
2	Total RWA for CVA at end of reporting period	10,665,863

Part 12 – Operational Risk

The management of Operational Risk in SNB has a comprehensive policy & framework that describes the governance structures, roles and responsibilities for the management of operational risk as a distinct category at a Bank level and across the SNB divisions and business units. The ORM policy and framework encompasses the following major components/ tools:

Risk Appetite: Appetite is determined, qualitatively, by reference to a variety of tools i.e. Risk and Control Self-Assessment (RCSA), Key Risk Indicator (KRI) and Loss Data methodologies as starting and supporting points to build risk appetite. Consequently, the Board reviews and approves the risk appetite levels.

Risk and Control Self-Assessment: RCSA forms an integral element of the overall operational risk framework as it identifies control gaps that threaten the achievement of defined business or process objectives and monitors what management is actually doing to close these gaps.

Key Risk Indicators: KRI is a measure demonstrating the likelihood of the impact of the risk changing its behavior. It is a tool in identifying vulnerabilities before they occur, acting as an early warning system.

Loss Data Collection: The loss data collection process consists of submitting to the central operational risk management function all operational risk losses arising from actual events.

Incident Management & Reporting: All discovered operational risk incidents must be recorded into SAS. In addition, SNB has adopted a comprehensive streamlined mechanism that ensures early enough notification is communicated promptly to the right people in timely and accurate manner for critical Operational Risk Incidents.

These are designed to provide a consistent approach to manage operational risks across the organization to mainly ensure that:

- Key tasks are performed and are undertaken in the most effective and efficient control environment.
- Gaps and overlaps in activities are identified, assessed, mitigated, and monitored.
- SNB Employees are fully aware of operational risks through the provided impactful training & awareness programs.

(a) The structure and organization of their operational risk management and control function.

Operational Risk Management is led by the Head of Operational Risk with the support of primary Department Heads who are responsible for developing and maintaining the Bank's operational risk management framework and supports the Group Chief Risk Officer in overseeing the implementation of the framework. Moreover, the operational risk governance model in SNB covers a governance structure for the Bank, divisions and business units that are based on a three lines of defense model as follows:

- **The first line of defense** comprises group, divisional and business unit teams who have immediate responsibility over day-to-day operational risk management within the business.
- **The second line of defense** comprises the group and functions that are responsible for developing framework-setting policy and overseeing operational risk at the bank, divisional and business unit levels.
- **The third line of defense** comprises an independent assurance role that is performed by Internal Audit.

The relationship between the Operational Risk Management, Compliance and internal audit functions is based on clear separation, in which each of the aforementioned function has a well-defined mandate to ensure full independence of each of these functions organizationally and functionally. However, all these functions

operate in a coordinated manner to ensure the Bank maintains a harmonized practice across its groups, divisions, and departments.

Operational Risk Management: Responsible for risk management development, monitoring process and the implementation of the bank overall risk management- which reports directly to the Operational Risk Committee.

Compliance: Responsible to ensure the Bank adheres to external laws & regulations, as well as internal policies and procedures- which reports directly to the Compliance Committee.

Internal Audit: Responsible for providing an independent, objective assurance and consulting service- which reports directly to the Audit Committee.

(b) Their operational risk measurement system (i.e. the systems and data used to measure operational risk in order to estimate the operational risk capital charge).

All operational risk events and losses are recorded in the operational risk loss database through a Statistical Analysis System (SAS). This practice aims to build a historical database, incorporating internal operational risk events relating to all material activities and risk exposures of the Bank, from all geographical locations and using all appropriate sources to model its potential exposure to operational risk events in the future and calculate the amount of capital required to cover such potential exposure.

(d) The scope and main context of their reporting framework on operational risk to executive management and to the board of directors.

The reporting mechanism of Operational Risk Framework is robustly facilitated through multiple Management Committees, in addition to the Board Risk Committee. In particular, SNB established the Operational Risk Committee - as part of SNB management committees - to effectively manage and oversee the Operational Risk framework implementation across the bank. Therefore, the Board delegates the Operational Risk Committee to oversee the management of the risks within the Board's appetite & tolerances, and requires the Operational Risk Committee to report to the Board periodically on risk exposure. The main purpose of the Operational Risk committee includes:

- Oversee the progress of Operational Risk framework implementation in the Bank, of Operational Risk activities implementation, and initiatives proposed by various groups.
- Oversee the progress of all action plans across the Bank and their effects on the quality of the controls.
- Oversee the operational risk exposures of the Bank (actual, potential and near misses).
- Discuss the major operational incidents of the Bank and the corrective actions that have been taken.
- Provide the Board with regular reports on the state of operational risk and the progress being made to reduce operational risks across the business.

(e) The risk mitigation and risk transfer used in the management of operational risk. This includes mitigation by policy (such as the policies on risk culture, risk appetite, and outsourcing), by divesting from high-risk businesses, and by the establishment of controls. The remaining exposure can then be absorbed by the bank or transferred. For instance, the impact of operational losses can be mitigated with insurance.

The adoption of the Risk treatment measure essentially depends on the effectiveness of the measure in reducing the probability and impact of a given Risk and the cost and time involved in implementing the measure. The Risk responses shall be any one of the following or a combination that will result in an effective measure:

Avoid Risk: In the event where the cost-benefit analysis proves that the benefit margin is less than the Risk cost considering all types of Risk that includes Operational Risk, the Bank will opt for avoiding such Risks.

Mitigate Risk: All possible measure that will enable reduction in the frequency or severity of loss occurrence shall be implemented as part of Risk mitigation for the identified Risks. The mitigation, primarily through internal controls, will have to be prudently applied based on the prioritization of risks.

Transfer Risk: Where the internal control environment does not specifically provide the support for reduction or controlling the Risk, the Bank shall decide on transferring such Risks primarily through Insurance or Outsourcing. The Risk appetite of the Bank will also be taken into account while implementing the Risk transfer through insurance and outsourcing.

Risk Acceptance: The Bank shall decide on accepting Operational Risks where the cost-benefit analysis sufficiently provides justification that the expected loss could be less than the cost of Risk mitigation.

Template OR1: Historical losses

		T	T-1	T-2	T-3	T-4	T-5	T-6	T-7	T-8	T-9	Ten-year average
Using 44,600 SAR threshold												
1	Total amount of operational losses net of recoveries (no exclusions)	75,258,446	78,049,002	57,735,256	8,824,383	204,561,736	69,824,653	94,700,423	111,994,037	73,715,822	36,293,831	27,102,733
2	Total number of operational risk losses	50	67	76	65	114	98	120	112	152	64	66
3	Total amount of excluded operational risk losses											-
4	Total number of exclusions											-
5	Total amount of operational losses net of recoveries and net of excluded losses	75,258,446	78,049,002	57,735,256	8,824,383	204,561,736	69,824,653	94,700,423	111,994,037	73,715,822	36,293,831	27,102,733
Using 446,000 SAR threshold												
6	Total amount of operational losses net of recoveries (no exclusions)	69,796,314	71,157,770	49,357,090	3,253,570	195,253,917	61,425,440	85,134,473	102,807,299	58,403,311	30,799,822	72,738,901
7	Total number of operational risk losses	15	26	24	24	24	19	29	36	27	17	24
8	Total amount of excluded operational risk losses	-	-	-	-	-	-	-	-	-	-	-
9	Total number of exclusions	-	-	-	-	-	-	-	-	-	-	-
10	Total amount of operational losses net of recoveries and net of excluded losses	69,796,314	71,157,770	49,357,090	3,253,570	195,253,917	61,425,440	85,134,473	102,807,299	58,403,311	30,799,822	72,738,901

Details of operational risk capital calculation

11	Are losses used to calculate the ILM (yes/no)?	Yes
12	If “no” in row 11, is the exclusion of internal loss data due to non-compliance with the minimum loss data standards (yes/no)?	
13	Loss event threshold: €20,000 or €100,000 for the operational risk capital calculation if applicable	€20,000

Template OR2: Business Indicator and subcomponents

		a	b	c
	BI and its subcomponents	T	T-1	T-2
1	Interest, lease and dividend component	18,798,793		
1a	Interest and lease income	49,856,987	34,394,929	27,077,526
1b	Interest and lease expense	22,847,263	8,106,272	3,540,360
1c	Interest earning assets	877,744,495	812,053,690	768,455,504
1d	Dividend income	366,038	392,466	327,166
2	Services component	6,267,771		
2a	Fee and commission income	5,336,338	5,125,953	4,558,355
2b	Fee and commission expense	1,256,181	1,421,790	1,175,148
2c	Other operating income	1,300,110	1,066,547	1,416,009
2d	Other operating expense	536,996	257,573	258,136
3	Financial component	4,386,116		
3a	Net P&L on the trading book	1,945,426	1,580,071	1,734,655
3b	Net P&L on the banking book	2,644,027	2,075,433	3,178,736
4	BI	29,452,679		
5	Business indicator component (BIC)	4,284,102		

Template OR3: Minimum required operational risk capital

1	Business indicator component (BIC)	4,284,102
2	Internal loss multiplier (ILM)	0.73
3	Minimum required operational risk capital (ORC)	3,144,796
4	Operational risk RWA	39,309,946

Part 13 - Interest Rate in the Banking Book

IRRBBA – IRRBB risk management objectives and policies

a. The bank's definition of IRRBB for purposes of risk control and measurement.

Interest rate risk is the risk to earnings or capital attributed to the movement of interest rates. It generally arises from the following:

- Repricing risk - timing mismatch in the maturity and repricing of assets and liabilities and off-balance sheet short- and long-term positions.
- Basis risk- hedging exposure to one interest rate with exposure to another rate which re-prices under slightly different conditions.
- Yield curve risk - changes in the slope and the shape of the yield curve.
- Option risk - options, including embedded options.

b. A description of the bank's overall IRRBB management and mitigation strategies.

Interest Rate Risk Governance

The Board directs and oversees the ALM activities, including interest rate risk, to maximize shareholder value, and protect SNB from significant financial losses. The Board Risk Committee provides oversight to the ALCO, which has overall responsibility for interest rate risk monitoring and management to optimize SNB's earnings and net asset values and sets the DV01 limit.

Group Treasury is responsible for the day-to-day execution of interest-rate strategy. Group Treasury's task is to protect the Bank's earnings from adverse movements in interest rates and to enhance net interest income through appropriate action and anticipation of the extent of directional shifts in interest rates. Group Treasury manages interest rate risk in the following manner:

Clear definition of authorized investments, permissible hedging and position-taking strategies with Treasury appointed as the execution body.

Identification of the frequency and methodology for measuring interest rate risk.

The setting of quantitative limits in line with the risk appetite.

Interest Rate Risk Policy Standards

The asset-liability management policy sets out guidelines on the governance and management of the asset-liability structure and the key components of ALM as they relate to SNB. One of the primary business objectives underpinning ALM policy is to consider interest rate risk/hedging/return strategy for the Bank to ensure the optimization of SNB's balance sheet structure.

Interest Rate Risk Assessment and Monitoring Tools

Interest rate risk is calculated and reported to the ALCO on a monthly basis. Following is a sample of measures and methodologies used to manage interest rate risk.

IRRBBA – Interest Rate Risk in the Banking Book refers to the current or prospective risk to the Bank's capital and earnings and economic value arising from an adverse movement in interest rates that affect the Bank's

banking book position. It is an important tool for the Bank to identify, measure, monitor and controls the interest rate sensitive assets, liabilities and off-balance sheet items that can adversely affect the Bank's financial position.

Maturity/Repricing Schedule - SNB measures maturity mismatch by creating a schedule that distributes assets and liabilities into time buckets according to their final maturity (if fixed rate) or time remaining to their next repricing (if they are floating rate). Sensitivity analysis is utilized to assess the impact of interest rate movements on the net earnings and capital at risk of SNB. Assets and liabilities that do not have contractual re-pricing intervals or maturities are assigned to re-pricing buckets based on SNB's assessment.

Interest Rate Limits - SNB has in place a monitoring process for Interest Rate Exposure.

Interest Rate Risk Mitigation

Earning sensitivity to a parallel shift in the yield curve is calculated and reported to ALCO on a monthly basis.

DV01 is calculated and reported to ALCO on a monthly basis.

Hedging is used as appropriate to manage interest rate risk.

The periodicity of the calculation of the bank's IRRBB measures, and a description of the specific measures that the bank uses to gauge its sensitivity to IRRBB.

The Bank calculates its IRRBB for the Saudi Central Bank (SAMA) on a quarterly basis and uses NII to gauge its sensitivity to interest rate risk. Internally, IRRBB is calculated and reported to the ALCO on a monthly basis.

c. A description of the interest rate shock and stress scenarios that the bank uses to estimate changes in the economic value and in earnings.

The Bank uses historical changes in interest rates to derive interest rate volatility to estimate the impact on the NII. Changes in the economic value of equity (EVE) are estimated by using the standard regulatory scenarios.

d. Significant modelling assumptions used in the bank's internal measurement systems.

SNB uses the re-pricing gap between assets, liabilities, and off-balance sheet banking book items sensitive to interest rate shocks, as a basis for computing the impact of interest rate risk. The Bank considers the on and off-balance sheet items that are subject to re-pricing within five years. Then, an interest rate shock (derived from the daily volatility of interest rates over the last 20 years at a 99% confidence level for each time bucket is considered to calculate the capital charge.

e. A high-level description of how the bank hedges its IRRBB, as well as the associated accounting treatment.

Treasury uses hedging to manage its interest rate exposure and safeguard SNB's strategic positions against adverse shifts in the direction of rates. This is carried out through derivatives such as interest rate swaps, futures and cross-currency swaps. These are generally done through cash flow hedges or fair value hedges where one type of interest payment (fixed/float) is substituted in favor of another (float/fixed). Hedging becomes critical in a rising/falling rates environment for the enablement of locking in a higher rate of return and/or limiting potential revaluation.

f. A high-level description of key modelling and parametric assumptions used in calculating Δ EVE and Δ NII in Table B, which includes:

- **For Δ EVE, whether commercial margins and other spread components have been included in the cash flows used in the computation and discount rate used.**

The Bank includes commercial margins/spreads in a number of its assets and discounts them using the relevant discount rate. Where commercial margins/spreads are not included, the Bank discounts using the risk-free rate.

- **How the average repricing maturity of non-maturity deposits in (1) has been determined (including any unique product characteristics that affect assessment of repricing behavior).**

Average maturity of non-maturity deposits (NMDs) has been determined separately for retail and wholesale deposits – by material currency, using the last 10 years of monthly data subject to thresholds established by the guidelines.

- **The methodology used to estimate the prepayment rates of customer loans, and/or the early withdrawal rates for time deposits and other significant assumptions.**

Overall, prepayments on loans are immaterial. Clients that do opt to prepay their loans are charged an agreed payment/rate mitigating the interest rate risk. Therefore, prepayments are not taken into consideration. Due to the contractual terms of Time Deposits, no assumptions with respect to early withdrawals have been made.

- **Any other assumptions (including for instruments with behavioral optionality that have been excluded) that have a material impact on the disclosed Δ EVE (delta EVE) and Δ NII (delta EVE) in Table B, including an explanation of why these are material.**

No assumptions have been made.

- **Any methods of aggregation across currencies and any significant interest rate correlations between different currencies.**

There are no such methods

Quantitative disclosures

1 Average maturity (years) assigned to NMDs.
4.4 years

2 Longest repricing maturity (years) assigned to NMDs.

3 25 years

Definitions:

EVE: Economic Value of Equity

NII: Net Interest Income

Δ EVE: Change in EVE, i.e., base EVE – stress EVE

Δ NII: Change in NII, i.e., base NII – stress NII

• IRRBB1 – Quantitative information on IRRBB

SAR '000

In reporting currency	□EVE		□NII	
Period	Q4 2024	Q4 2023	Q4 2024	Q4 2023
Parallel up	18,600,889	16,479,049	972,338	1,478,905
Parallel down	--	-	(993,459)	(1,478,905)
Steepener	6,034,782	6,504,572		
Flattener	--	268,450		
Short rate up	6,360,825	4,633,278		
Short rate down	--	-		
Maximum	18,600,889	16,479,049	972,338	1,478,905
Period	Q4 2024		Q4 2023	
Tier 1 Capital	153,044,867		136,385,218	

Part 14 – Remuneration

REMA - Remuneration Governance

The Board of Directors of the Bank (SNB) is responsible for overseeing and approving the overall design of the reward framework and ensuring that the system is working effectively.

SNB Board has a Nomination and Remuneration Committee (NRC) whose objective is to support and advise the Board on matters concerning remuneration, nomination of executive roles, corporate governance and Human Resource activities.

SNB's Board of Directors oversees its subsidiaries and affiliates through representation on the boards of directors of these subsidiaries and affiliates. The election and removal of SNB representation in subsidiaries/affiliate boards shall be recommended by the relevant NRCs and shall be approved by the Board of SNB. The input shall be provided from Group Chief Executive Officer when selecting SNB's executives to represent SNB in other subsidiaries/affiliates. The NRC comprises of at least three Non-Executive Directors.

All NRC members have the required experience and expertise in relation to remuneration, either through their qualification or through experience as members of committees/boards of other entities, which enable them to achieve effective governance of the SNB remuneration system. The NRC has a regular meeting cycle. The full list of responsibilities of the NRC is outlined in its Charter; however, below listed are key responsibilities of NRC in terms of SNB's Remuneration functions:

Make recommendations to the Board that promote appropriate remuneration policies and practices for SNB and oversee that these remuneration policies and practices are in the interest of the shareholder and do not induce participation in taking high-risk transactions to achieve short-term profits.

Coordinate with HR to develop a succession and replacement policy and ensure the compliance of the senior management with such policy.

Make recommendations to the Board in respect of the remunerations of the senior management in accordance with the approved policy.

Review the structure of the senior management and provide recommendations regarding changes that may be made to such structure.

Ensure regular review of the remuneration policy, and assess its effectiveness in achieving the set objectives.

Ensure that the Bank's incentive system is reviewed periodically and does not encourage participation in high risk operations to achieve short-term profits and is consistent with the Bank's approved risk policy.

Recommend to the Board for its approval of the pool of fund required for the payment of short-term Awards.

Review the long-term Incentive plans and the participation of senior management in such plans and recommend the required approvals of the Board.

The SNB remuneration policy covers the following:

SNB, in Kingdom of Saudi Arabia (KSA) and its overseas branches/offices.

All remuneration elements: basic salary; fixed allowances; job-based allowances; employee benefits; recognition schemes, variable pay - short-term and long-term.

Key determinants of remuneration: job grade; individual performance, business and corporate performance; risk alignment; remuneration and market conditions; and regulatory requirements.

The description of Material Risk Takers at SNB is the employees whose roles entail risk-taking that may lead to material loss including, but not limited to, those in businesses such as Treasury, Retail and Corporate banking, etc. Material Risk Controllers are employees whose faulty actions, lack of due diligence or negligence in risk controlling functions may lead to material loss, including, but not limited to, those in Control and Support functions; while senior management are those executive persons, including an executive director, having authority and responsibility for planning, directing and controlling the activities of the bank, directly or indirectly and those whose appointment requires regulatory approval.

Remuneration Philosophy and Strategy

The SNB remuneration philosophy and strategy sets the direction for future investment in Remuneration with a focus to:

- Attract, retain and engage a high-performing work force.
- Appropriate management of fixed pay.
- Reinforce a business culture based on high standards of performance.
- Allow differentiation based on performance “Pay-for-Performance”.

Remuneration Structure

The remuneration policy provides the following components of remuneration:

a. Fixed Pay – comprising of:

- Base remuneration: includes basic pay and other fixed allowances.
- Job related remuneration: includes all job/position related allowances.
- Other remuneration: includes statutory and other benefits.

b. Variable Pay – comprising of:

- Short-Term Incentive: includes annual performance bonus and sales incentives.
- Long-Term Incentive: includes grants in shares.

Remuneration and Risk

The purpose of the remuneration risk alignment framework is to ensure that variable remuneration for material risks is aligned to the risk profile of the Bank. In its endeavor to do so, SNB considers both quantitative measures and qualitative measures in the risk assessment process.

SNB undertakes risk assessment to review financial and operational performance against the business strategy and risk performance prior to the distribution of variable pay. Variable pay will consider the performance of SNB which is considered within the context of the Bank’s risk management framework.

Ex-ante adjustments shall be applied before variable remuneration is awarded and adjust variable compensation for risk if the performance outcomes are achieved outside acceptable bounds of the risk appetite set by the Bank’s management. The Bank also uses an ex-post risk assessment framework to back-test the actual performance against risk assumptions.

Linking and Adjusting Remuneration to Performance

SNB aims to foster a high-performance culture by ensuring that employees are provided with clear performance objectives, ongoing coaching and feedback, professional development and recognition for superior work. The performance of all employees is assessed periodically against agreed performance goals and the performance management system requires line managers to assess each employee's contribution as well as their compliance with risk management processes and controls, teamwork, behavioral competencies.

Short term variable pay is paid from the bonus pool which derives from a percentage funding against the Bank's adjusted net profit and is determined with reference to corporate (firm-wide) performance, performance of the business vertical and employee's performance against agreed goals and objectives taking account of the existing and potential risks in the business.

All variable pay is subject to claw back provisions. Deferral of Short-term variable pays of senior managers and material risk-takers and controllers is administered under a bonus deferral scheme as part of the Bank's risk aligned compensation plan, duly approved by the Board. Under this plan, a percentage of their bonus amount has been deferred for a number of years, depending on the position's seniority and positions long term impact on the organization. The deferred bonus shall vest in cash, on a pro-rata basis, over the vesting period, and is subjected to a forfeiture and performance criterion.

SNB also operates a long-term incentive plan for executives who influence the long-term success of the Bank. The purpose of the plan is to retain promising executives and tie their contribution with the shareholders' interests in the long term. The plan award shall be in the form of SNB ordinary shares, the performance period shall be (3) calendar years commencing on the first day of the calendar year in which an award is made, and the size of award will be based on criticality and the level of the role. The final plan payout is subject to forfeiture criteria as per the Bank's approved policy.

REM1 – Remuneration awarded during the financial year

Remuneration amount			a	b
			Senior management	Other material risk-takers
1	Fixed remuneration	Number of employees	21	225
2		Total fixed remuneration (3 + 5 + 7)	42,312	257,364
3		Of which: cash-based	36,597	216,329
4		Of which: deferred	-	-
5		Of which: shares or other share-linked instruments	-	-
6		Of which: deferred	-	-
7		Of which: other forms	5,715	41,035
8		Of which: deferred	-	-
9	Variable remuneration	Number of employees	21	225
10		Total variable remuneration (11 + 13 + 15)	89,686	259,113
11		Of which: cash-based	47,578	154,382
12		Of which: deferred	15,789	57,268
13		Of which: shares or other share-linked instruments	42,107	104,731
14		Of which: deferred	42,107	104,731
15		Of which: other forms	-	-
16		Of which: deferred	-	-
17	Total remuneration (2 + 10)		131,997	516,477

Item #1: Number of employees as of end of December, 2024

Item #9: Number of employees as of end of December, 2024

Item # 11: Full Bonus 2024 + awarded dividends in 2024

Item # 12: Full deferred from Bonus 2024 + awarded dividends in 2024

Variable remuneration on accrual basis

REM2 – Special payments

Special payments	Guaranteed bonuses				Sign-on awards				Severance payments			
	Number of employees		Total amount		Number of employees		Total amount		Number of employees		Total amount	
Senior management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Other material risk-takers	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

REM3 – Deferred remuneration

	a	b	c	d	e
Deferred and retained remuneration	Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
Senior management					
Cash	40,390	40,390	NA	NA	7,437
Shares	92,239	92,239			18,064
Cash-linked instruments					
Other					
Other material risk-takers					
Cash	143,847	143,847	NA	NA	23,521
Shares	278,272	278,272			57,631
Cash-linked instruments					
Other					
Total	554,749	554,749	NA	NA	106,653

Column a: Total outstanding deferred of Performance Bonuses + Employee Equity Plans

Appendix

The below list of tables and templates are not available as the related approach is not applicable to the Bank

	Tables and templates	ref. #
Overview of risk management, key prudential metrics and RWA	KM2 -Key metrics – total loss-absorbing capacity (TLAC) requirements (at resolution group level)	KM2
Comparison of modelled and standardized RWA	CMS1- Comparison of modelled and standardized RWA at risk level	CMS1
	CMS2- Comparison of modelled and standardized RWA for credit risk at asset class level	CMS2
Credit valuation adjustment risk	CVA2- The full basic approach for CVA (BA-CVA)	CVA2
	CVAB- Qualitative disclosures for banks using the SA-CVA	CVAB
	CVA3- The standardized approach for CVA (SA-CVA)	CVA3
Part 3 – Linkages between financial statements and regulatory	PV1 – Prudent valuation adjustments (PVA)	PV1
Part 4 – Composition of capital and TLAC	TLAC1 –TLAC composition for G-SIBs (at resolution group level)	TLAC1
	TLAC2 – Material subgroup entity – creditor ranking at legal entity level	TLAC2
	TLAC3 – Resolution entity – creditor ranking at legal entity level	TLAC3
Part 5 – Macroprudential supervisory measures	GSIB1 – Disclosure of G-SIB indicators	GSIB1
Part 8 – Credit risk	CRE – Qualitative disclosures related to IRB models	B.15
	CR6 – IRB - Credit risk exposures by portfolio and PD range	B.16
	CR7 – IRB – Effect on RWA of credit derivatives used as CRM techniques	B.17
	CR8 – RWA flow statements of credit risk exposures under IRB	B.18
	CR9 – IRB – Back testing of probability of default (PD) per portfolio	B.19
	CR10 – IRB (specialized lending and equities under the simple risk weight method)	B.20
Part 9 – Counterparty credit risk	CCR4 – IRB – CCR exposures by portfolio and PD scale	B.25
	CCR7 – RWA flow statements of CCR exposures under the Internal Model Method (IMM)	B.28
Part 10 – Securitization	SEC2 – Securitization exposures in the trading book	B.32
	SEC3 – Securitization exposures in the banking book and associated regulatory capital requirements – bank acting as originator or as sponsor	B.33
Part 11 – Market risk	MR2 – RWA flow statements of market risk exposures under an IMA	MR2
	MR3 – IMA values for trading portfolios	MR3
	MR4 – Comparison of VaR estimates with gains/losses	MR4

Basel III Qualitative and Quantitative Pillar 3 Disclosures Policy:

To assure compliance with the requirements of the guidance issued by SAMA dated December 2022, SNB has created Basel III Pillar 3 Disclosures Policy which was approved by the Board.

The policy document governs the implementation, process and reporting of Basel III Pillar 3 Disclosures. It describes the scope, guiding principles, required standards and regulations, roles and responsibilities and internal controls for these disclosures.